GRUPO BIMBO S.A.B. de C.V.



To nourish, delight and serve our world.

Alimentar, deleitar y servir a nuestro mundo.

Alimentar, deliciar e servir a nosso mundo.

哺育, 愉悦和服务我们的世界



Contents

2. Grupo Bimbo Today
4. Highlights from the year
5. Financial Highlights
6. Letter from the Chairman of the Board of Directors
8. Letter from our CEO
12. Grupo Bimbo's Strategy
13. Innovate
14. Create Deep Connections with Consumers
14. Create Value for Customers
15. Build Efficiency and Scale
16. Responsible Financial Management
17. Responsible Social and Environmental Management
18. Management Commitee
19. Board of Directors
20. Governance Committees
20. Board Members
23. Advisory Board
24. Corporate Governance
26. Management's Discussion and Analysis of Results
31. Consolidated Statements

GRUPO BIMBO
S.A.B. de C.V.

Grupo Bimbo is a leading global producer of branded packaged foods. We are the number one baking company in the Americas and one of the most important in the food industry worldwide, generating Ps. 117.2 billion in sales in 2010. We strive to be a highly productive and deeply humane company, one in which our people make a difference every day.

Our Mission — To Nourish, Delight and Serve our World.

Our Vision 2015 outlines what we aspire to be in five years, the best baking company in the world and a leader in the food industry, based on these five strategic pillars:

~ Trustworthy leading brands for our consumers

~ Our customers' preferred supplier

~ A forward looking and innovative company

~ A strong and sound company

~ An extraordinary place to work



Grupo Bimbo TODAY

Facts and figures*

Year founded: 1945
Headquarters: Mexico City
Countries: 17
2010 revenues: Ps. 117.2 billion
Brands: more than150
Key categories: packaged bread, sweet baked goods, muffins, buns, confectionery, salty snacks, wheat tortillas, tostadas
Associates worldwide: more than108,000
Production facilities: 103
Distribution routes: more than 41,000
Points of sale: more than 1.8 million
Ticker symbol: BMV: BIMBO
Market cap (12/31/10): Ps.124 billion
Website: *www.grupobimbo.com*

*As of March 1, 2011 unless otherwise noted

Mexico



Q1

~ Launched Sandwich Thins in Mexico.
~ National rollout of Bimbo Bread in the United States, launch of Bagel Thins.
~ Prepaid US$100mm towards revolver facility.

Q2

~ World Cup / Haz Sandwich campaign was the company's most successful multimedia effort in Mexico.
~ Acquisition of Dulces Vero in Mexico announced (closed in December).
~ Placed US$800mm in senior unsecured notes in the international markets.

China



2 Plants

Latin America

25 Plants



United States

34 Plants



Q3

~ Began expansion into Shanghai, China.
~ New plant started up operations in Belo Horizonte, Brazil.
~ Distribution network expansion in Latin America.

Q4

~ Announced acquisition of Sara Lee North American Fresh Bakery in USA (closing expected in 1H2011).
~ Began construction of largest wind farm in the global food industry.
~ Launch of 2015 Vision and new Mission.

Highlights
FROM THE YEAR

~ Consolidated sales rose 0.7% in a challenging economic environment.

~ Volume growth supported by brand strength, product innovation, robust promotional activity and greater market penetration.

~ Despite cost pressures, operating and EBITDA margins show decline of less than 1 percentage point.

~ Healthy free cash flow, debt payments and longer maturities improve leverage ratios, strengthening the financial profile.

~ Strategic acquisition of Sara Lee North American Fresh Bakery expected to close in 1H2011 will significantly strengthen and expand U.S. business.

~ Sustainability efforts further integrated into core business strategy through supply chain programs, renewable energy project and strong focus on safety, among other initiatives.







Figures of the years 2008, 2009 and 2010 include transactions denominated in Mexican pesos of different purchasing power, while those as of the years 2006 and 2007 are presented in Mexican pesos of purchasing power of December 31, 2007.

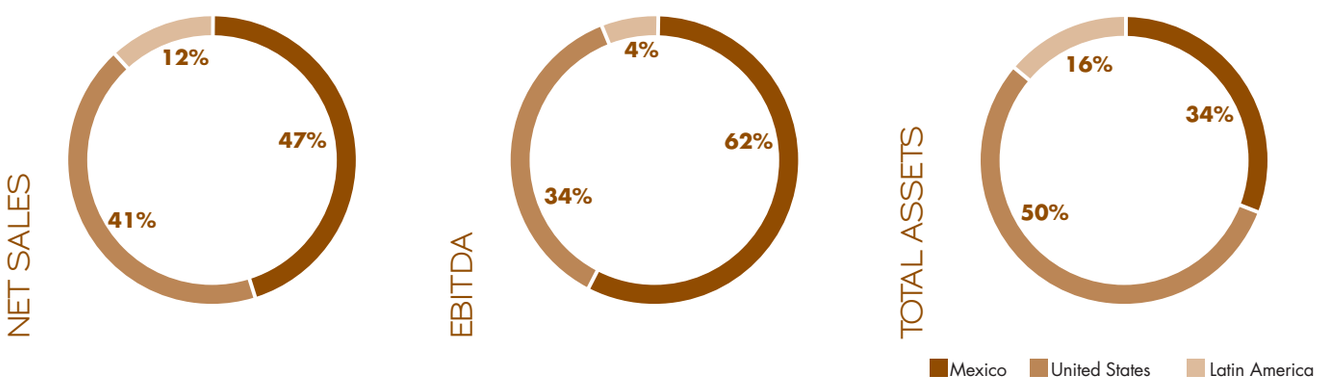
Financial
HIGHLIGHTS

	2010	2009	% CHANGE
Net sales[1]	117,163	116,353	0.7%
Mexico	57,870	55,388	4.5%
United States	47,875	49,850	-4.0%
Latin America	14,207	13,606	4.4%
Operating Income[1]	11,393	12,054	-5.5%
Mexico	8,013	7,499	6.9%
United States	3,738	4,261	-12.3%
Latin America	-340	301	N.A.
Net income	5,544	6,081	-8.8%
Net majority income	5,395	5,956	-9.4%
Total assets	99,069	99,666	-0.6%
Total liabilities	54,532	58,709	-7.1%
Stockholders' equity	44,537	40,957	8.7%
Book value per share[2]	37.17	34.11	9.0%
Earnings per share[2]	4.59	5.07	-9.4%
Net debt / EBITDA	1.93	2.01	
Net debt / Stockholder's equity	0.67	0.78	
ROA	5.6%	6.1%	
ROE	12.4%	14.8%	

Figures expressed in millions of nominal pesos.

[1] Consolidated results exclude inter-company transactions.

[2] Data in Mexican pesos based on outstanding shares of 1,175,800,000 for 2009 and 2010.



Letter from the

CHAIRMAN OF THE BOARD OF DIRECTORS

I am pleased to present you the results of our Group for fiscal year 2010.

Although we cannot say the results were impressive, due to special circumstances, all of our divisions showed growth against the previous year, except for South America, which held steady.

The numbers would have been better but for a series of extraordinary developments that affected our operating and non-operating results, the largest of which were the effects of exchange-rate valuation, a substantial adjustment to the labor contingency fund in Brazil, and expenses and commission for the acquisition of the fresh bakery business of Sara Lee in the US.

In times we all recognize as difficult, because of the global crisis, commodity prices, exchange-rate fluctuations, weather-related phenomena and other negative influences, we were able to turn a profit, grow and maintain our solid financial and competitive stance.

I believe this was due largely to dynamic and flexible management, that has led us to modernize and adapt to new needs and opportunities, making it clear that the vision, depth and speed with which our management operates has ensured rapid development and a strong competitive position.

The results are as follows: Sales of Ps. 117.2 billion, 0.7% higher than in 2009. Net Majority Income of Ps. 5.4 billion, 9.4% lower than in 2009.

We made three strategic acquisitions during the year: Dulces Vero in Jalisco, Mexico, Jin Hong Wei in China, and Bimar Foods in the United States.



Among the year's highlights were the negotiations to finally acquire Sara Lee's fresh bakery business in the United States, a transaction we will complete in 2011.

I must acknowledge that the past year required intense efforts on the part of the Board I am honored to head, and particularly for the committees involved in the acquisitions area and Finance Department. I am grateful to all of the committee members for their dedication and work, and I congratulate all of them for the success of our ventures.

Despite having reached our goal of being the largest bakery company in the world and number one in almost every country where we operate, we have ambitious growth plans for other latitudes, and the financial strength needed to pursue them.

I believe that this vision of continuing growth is a fundamental characteristic of this Group, as it has been year after year for the past 65 years. We have never considered the possibility of slowing our pace, or simply making do with what we already have.

In other matters, we are deeply satisfied that our firm decision to support environmental care is materializing in our choice of wind energy, which will cover almost all of the electricity needs of our plants in Mexico. The "Piedra Larga" project in Oaxaca is under way, and we expect it to be operational by November 2011.

Another important aspect of our operations is our labor relations. I am therefore pleased to note that there were no serious problems on this front during the past year, and in fact we have received proof of personnel satisfaction from their union representatives in Mexico.

In other countries, where our relationships are newer and influenced by cultural factors, they are also largely very good, although they remain an area of opportunity to which we are dedicating considerable effort.

The Group's stock repurchase reserve was not used to buy back any shares in the year 2010.

The Board of Directors approved management's actions in this past year, as well as the Report of the Board of Directors. The approval of the Board is based on the opinion of our auditors, and the Board considers the Group's financial statement to have been prepared in accordance with Mexican Financial Reporting Standards, whose policies and standards were applied consistently and appropriately to the Group's circumstances, and that the financial information reasonably reflects the financial position and results of the company.

As we did last year, along with this report we are presenting to the Shareholders' Meeting the reports of the Audit Committee, the Corporate Practices Committee, and the Chief Executive Officer, as well as a report on our compliance with fiscal and other obligations and on the main accounting policies and standards applied and information used in preparation of the company's financial information.

As in previous years, I would like to express my thanks to management for its efforts, all our associates and our unions for their hard work, and our shareholders for their support.



Roberto Servitje
Chairman of the Board of Directors

Letter from our
CHIEF EXECUTIVE OFFICER

In 2010 we navigated through an extended and difficult global recession which reached Grupo Bimbo. Although we were able to deliver volume growth, increased market penetration and a healthy financial position, the results of the past fiscal year were below what we expected. Still, I am pleased to note that while profits declined on a year-to-year basis, this was the second best year in our history after 2009.

We faced many challenges in 2010: limited purchasing power among consumers put pressure on consumption and prices; stronger valuation of the Mexican peso impacted dollar-denominated sales; and commodity costs rose markedly in the latter months of the year, particularly in wheat. We also suffered from a hurricane in southeastern Mexico that impacted more than 2,000 of our clients, shut down a key plant for three weeks and compromised two distribution centers, while earthquakes in Chile and Mexicali damaged our production facilities and affected operations.

Financial performance

Our net sales rose 0.7% over 2009, to Ps. 117.2 billion. In Mexico, sales growth of 4.5% was driven by higher volumes that reflected a modest recovery and strong promotional activity. In the United States, sales in dollar terms rose 2.0%, the result of good volume growth offsetting lower prices; however, in Mexican peso terms sales declined 4.0% for the year. In Latin America, an expanded distribution network, new clients and strong growth in markets like Brazil and Chile drove sales 4.4% higher.

Although commodity prices began to rise in the second half of the year, the gross margin remained stable. Operating income fell by 5.5% to Ps. 11.4 billion, while net majority income declined 9.4% from the previous year to Ps. 5.4 billion.



Our balance sheet remains healthy. We have worked aggressively to achieve a long-term amortization profile that aligns with our expected cash flows. To meet that goal we allocated much of our free cash flow to pay down, and in some cases prepay, our obligations. In 2010, we amortized US$300 million in loans and prepaid US$800 million of 2012 obligations using proceeds from an international senior notes offering.

Total debt at year-end 2010 was Ps. 33.2 billion, compared to Ps. 36.7 billion in 2009; the average maturity of our liabilities is now 5.3 years, compared to 3.2 years one year ago. The total debt to EBITDA ratio is a comfortable 2.1 times.

Key developments in the year

With our ongoing focus on execution, there were a number of important developments in the year. These include:

- Significant growth in points of sale and market penetration helped offset the challenging consumption environment, as did a strong promotional focus and commitment to delivering value to the consumer; this generated year-over-year volume growth in every region, with double digit gains in markets like Brazil and Chile.
- Successful new product launches, including Bimbo bread and Bagel Thins across the United States, Crocantíssimo toast crackers in Brazil, baked corn goods in Mexico, and a range of wheat-based products in China.
- Additional strategic acquisitions like Dulces Vero, a leading confectionery company in Mexico, Jin Hong Wei in China, which produces Chinese and western-style baked goods, and Bimar Foods in the US. The full benefits of these transactions will be seen in 2011.

We closed 2010 with two significant developments that will contribute to the future growth and sustainability of the company:

First, we announced the acquisition of Sara Lee's North American Fresh Bakery business in the United States. Along with a family of iconic brands, Sara Lee represents a significant opportunity to strengthen our U.S. operations, which will now generate approximately half of the Group's sales. The combined businesses are highly complementary in terms of product lines and geographic footprint, and will provide us with a true nationwide manufacturing and distribution platform. Furthermore, the combined operation will allow us to serve customers more efficiently. We are especially proud that only two years after acquiring BBU East we are now ready to advance to this next stage of growth.

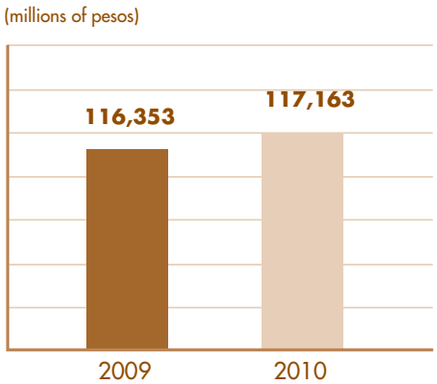
The immediate focus will be on the integration process. We expect to see synergies starting in 2013 and a gradual but important improvement in operating results thereafter. We intend to invest more than US$1 billion over the next five years to create a highly efficient manufacturing and service platform, including new bakeries and the modernization and upgrades of existing facilities. I look forward to welcoming Sara Lee's more than 13,000 associates into the Grupo Bimbo team.

Second, we signed a long-term supply agreement to obtain electricity from a 90 MW wind farm to be built by Renovalia Energy in the state of Oaxaca. This facility will generate nearly 100% of the electricity required by Grupo Bimbo's plants in Mexico, and will be the world's largest renewable energy project of its kind in the food industry when it starts up operations at the end of 2011. Not only will it reduce our environmental footprint and convert approximately 50% of our global electricity consumption to renewable sources, but it will also lessen volatility in our energy costs.

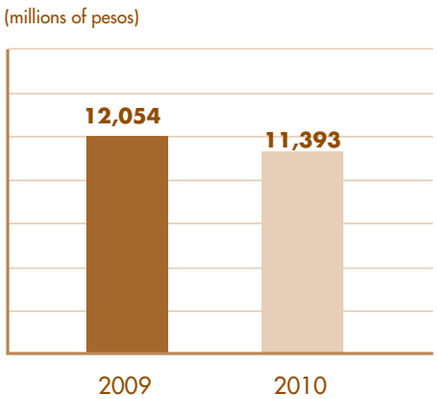
Building a sustainable company

This type of projects are indicative of how we see sustainability. It is about doing good and doing well, generating tangible business results today and a better world for our consumers tomorrow. Long-term sustainability requires a robust risk management framework, mutually beneficial relations with our

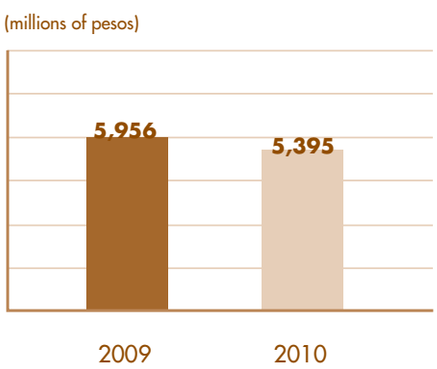
NET SALES



OPERATING INCOME



NET MAJORITY INCOME



suppliers and customers, and ethical, social and environmental responsibility.

To that end, we are making important progress on a number of initiatives, and while there is much more to do going forward this is a good beginning. An intensive focus on safety in the past 18 months has yielded improvements in the accident and loss time injury rates. Aside from obvious financial benefits, this makes Grupo Bimbo a better place to work and places the highest value on our associates. Also, product reformulations and responsible marketing and advertising are making us a trusted partner in consumer well-being. We are the first company in Mexico who limits advertising to children younger than 12, and we rolled out front-of-package calorie labeling across Mexico and Latin America this year.

There are numerous examples of our efforts to reduce unit consumption of energy and water, minimize waste, control emissions and enhance the quality of life for our employees and communities. I encourage you to read our corresponding Social Responsibility and Sustainability Report to learn more about Grupo Bimbo's full range of initiatives.

I should add that we are not seeking a competitive advantage in our environmental commitment; on the contrary, we hope to share our projects and positive results in order that every company may undertake such efforts. We have already begun to share best practices with customers and suppliers.

Outlook

I remain confident about the future of our markets and the potential for long-term growth. After successfully navigating two years of economic contraction I see the pace of recovery improving in 2011, although continued escalation in commodity prices is likely and we expect the competitive environment to remain challenging.

A key priority will be the disciplined integration of the Sara Lee bakery division in the United States once the transaction is approved and closed. In growth markets such as Brazil and China we are investing in strong organic expansion, while throughout Latin American we will continue to add customers, improve route productivity and focus on execution at the point of sale. In every region we will focus on delivering value to consumers and supporting brand development through innovation.

Across the organization we are working to standardize operational processes in terms of supply chain management, food safety, quality control, training and development, maintenance and sustainability. Ultimately, these are investments in productivity, quality and excellence, which will help to further our mission of nourishing, delighting and serving our world.

It is the dedication and hard work of our more than 108,000 associates around the world that will make this possible. They are making the difference every day and I am honored and grateful for their contributions. I would also like to extend my appreciation to our customers, consumers, suppliers and investors for their confidence in our company.

Sincerely,



Daniel Servitje
Chief Executive Officer

Grupo Bimbo's STRATEGY



To become the company we envision in 2015, we must execute a comprehensive strategy attuned to the dynamics of each market where we operate. Our strategy is to:



INNOVATE

We innovate to satisfy consumer tastes while improving the nutritional value of our product portfolio, as part of our social responsibility to our consumers. Research and Development teams develop innovations in different areas such as packaging, technology, materials and processes. We have six Innovation and Nutrition Institutes in the Americas which work closely with strategic industry and university partners.

Highlights in 2010 include recognition by the Whole Grains Council for introducing to the market the most number of whole grain products; ongoing reduction of sodium content in products like bread and snacks, in numerous brands and countries, as part of a long-term plan; and initial reduction of saturated fats after successfully eliminating trans fats in most of our categories.

For sustainable packaging we are working on a 5 year plan to implement thinner, oxo-degradable polyethylene and polypropylene bags for categories like white and wheat bread, buns, tortillas, cookies and cakes. This packaging will be introduced starting in 2011 and will reduce material used by potentially more than 500 tons per year.





~ More than 300 whole grain products in the market for 2010 like bread, tortillas, cookies, etc. endorsed by the use of the Whole Grains Council stamp in all of them. Launch of whole grain products for the first time in countries like China.



~ Reduction from 20-30% of salt used in top products in Mexico, USA and South America. Ex: White Bimbo Bread, Oroweat Bread, Takis Huakamole Snacks, Chip's Salt, Pullman Bread, etc.

~ Reduction up to 50% of saturated fatty acids content in snacks under Barcel brand in Mexico.

Create deep connections
WITH CONSUMERS

Brand equity is built upon a deep understanding of consumer tastes, preferences and attitudes, and the ability to create a lasting emotional connection through quality and consistency. By creating unique and differentiated products and leveraging our brands as a platform for innovation, we have attained a leadership position across numerous categories and markets.

Our product and brand development strategy considers specific consumer needs within a range of social and demographic segments of each market. We see additional growth potential in new consumption opportunities throughout the day, and in under-penetrated categories.

United States
#1 in premium breads
#1 in English muffins
#1 portfolio of Hispanic brands
Strong regional brands

Central and South America
#1 in packaged baked goods in 13 countries
#2 in Argentina

Mexico
#1 in packaged baked goods
#1 retail pastry chain
#2 in cookies and crackers
#2 in salty snacks
#2 in confectionery

China
Pioneer in packaged baked goods in Beijing and Tianjin, expanding to other key cities

Create value
FOR CUSTOMERS

We serve more than 1.8 million points of sale across our markets. We have a responsibility to every retailer to keep their shelves stocked with fresh products that their customers want.

We rely on more than 41,000 distribution routes and 1,000 distribution centers to bring our goods to market.

To be our customers' preferred supplier requires a collaborative value-creating approach in terms of portfolio optimization and outstanding point-of-sale execution. In 2010 we added more than 100,000 new customers, and began a restructuring of national accounts to enhance how we serve these key customers.





Build

EFFICIENCY AND SCALE

The growth of the company has generated important economies of scale in production and distribution. We seek to strengthen profitability through greater efficiency.

In 2010, this included optimizing capacity in plants, production lines and in the distribution network; leveraging shared services and enterprise software to minimize overhead and facilitate rapid decision-making; and strengthening the kaizen practice in which associates drive productivity gains.

Responsible

FINANCIAL MANAGEMENT

Our financial practices include strict financial management, disciplined capex, ongoing improvements to the cost structure, and the commitment to a healthy balance sheet. We seek to reduce the volatility of raw material costs and exchange rates.

We have shown that a strong focus on operational execution and disciplined integration of acquisitions can help generate solid and stable free cash flow. Internally generated resources contributed US$300 million to debt payments in 2010.

In 2010 we made important progress in enhancing our flexibility by extending the average maturity of our debt from 3.2 years to 5.3 years, and aligning it with expected free cash flow in terms of both currencies and maturities. This was supported by the US$800 million in global bonds issued this year, our first global offering, which was met with solid demand in the U.S. and Europe. We have rapidly deleveraged since financing the BBU East acquisition, including US$300 million of loans amortized in 2010 through cash holdings. We expect to remain well within our target leverage range when the Sara Lee's North American Fresh Bakery acquisition closes in 2011.



Responsible social and environmental MANAGEMENT

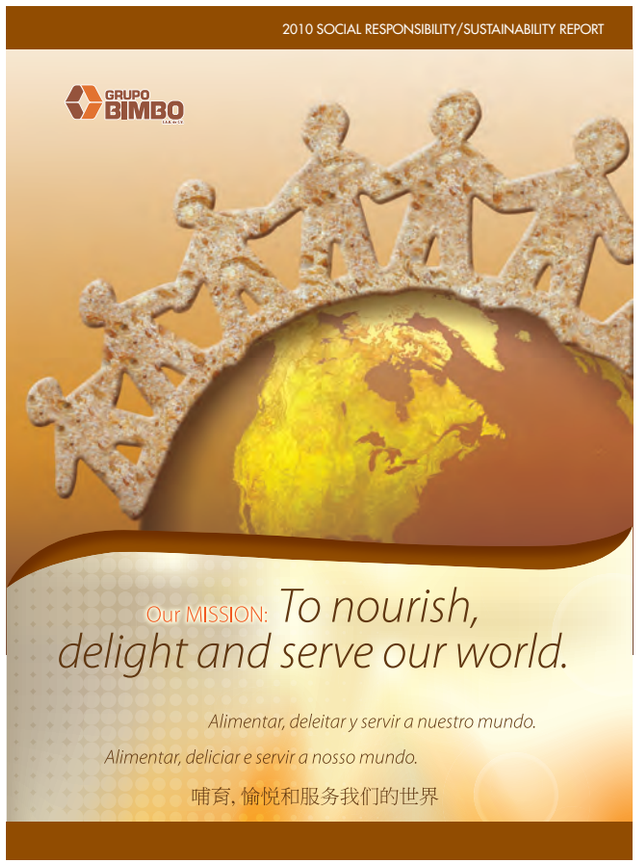
Grupo Bimbo's sustainability efforts stem from a belief that there is no conflict between doing well (financial impact) and doing good (social and environmental impact).

To the contrary, such efforts often generate significant business benefits: better safety reduces liability costs; less packaging reduces materials and transport cost; and resource conservation improves efficiency.

Our sustainability efforts are cross-functional and executed across all brands. Key initiatives and results in 2010 include:

- Significant improvement in safety indices.
- Outreach to suppliers and customers for inclusion in our sustainability supply chain; goal is to reduce our collective carbon footprint and improve Social Responsibility performance.
- Initiated rollout of front-of-package labeling on calories and GDA initiatives.
- Signaled strong support for renewable energy by signing a long-term supply agreement for electricity to be generated by a wind project now under construction; the facility will power almost all of Grupo Bimbo's Mexico plants.

We encourage you to read our 2010 Social Responsibility and Sustainability Report to learn about the Company's full range of initiatives.





Management COMMITTEE

Daniel Servitje Montull
Chief Executive Officer, Grupo Bimbo

Joined Grupo Bimbo in 1978; bachelor's degree in business administration from Universidad Iberoamericana, MBA from Stanford University. Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex, The Consumer Goods Forum and Grocery Manufacturers of America.

Pablo Elizondo Huerta
Senior Executive Vice President, Grupo Bimbo.

Joined Grupo Bimbo in 1977; studied chemical engineering. He attended the Advanced Management Program, Harvard Business School.

Javier Augusto González Franco
President, Bimbo S.A. de C.V.

Joined Grupo Bimbo in 1977; degree in chemical engineering, MBA from Universidad Diego Portales in Chile, Advanced Management Program, Harvard Business School, and the Breakthrough Program in the IMD. President of ConMexico (Consejo Mexicano de la Industria de Productos de Consumo, A.C.) since 2009.

Gary Prince
President, Bimbo Bakeries USA

Joined Grupo Bimbo in 2009; more than 35 years experience in the baking industry. Currently serves on the Board of the Directors of the American Bakers Association and is a Board Member of Students in Free Enterprise, Inc.

Gabino Gómez Carbajal
President, Organizacion Barcel, S.A. de C.V.

Joined Grupo Bimbo in 1981; bachelor's degree in marketing, master's degree in business administration from the University of Miami. Member of the Executive Board of ConMexico and member of the Food Group.

Alberto Díaz Rodríguez
President, Organizacion Latinoamerica

Joined Grupo Bimbo in 1999; industrial engineer with master's degree in management from the University of Miami and attended the Executive Program from Stanford University.

Guillermo Quiroz Abed
Chief Financial Officer, Grupo Bimbo.

Joined Grupo Bimbo in 1999; degree in actuarial studies, MBA from IPADE Member of the board of directors of Grupo Altex and Fincomún.

Javier Millán Dehesa
Chief Human Relations Officer, Grupo Bimbo.

Joined Grupo Bimbo in 1977; studied philosophy and business administration. Board member of the Asociación Mexicana en Dirección de Recursos Humanos. Chairman of Reforestamos México, A.C.

Reynaldo Reyna
Chief Information and Strategy Analysis Officer

Joined Grupo Bimbo in 2001. Studied Industrial and Systems Engineering and obtained a Masters' Degree in Operations Research and Finance from Wharton University.

Board OF DIRECTORS



Chairman
Roberto Servitje

Alternate Chairman
Daniel Servitje

Secretary
Luis Miguel Briola

Alternate Secretary
Pedro Pablo Barragán

I Independent

Board Members

Roberto Servitje
I Henry Davis
I José Antonio Fernández
I Arturo Fernández
I Ricardo Guajardo
I Agustín Irurita
Luis Jorba
Mauricio Jorba
Francisco Laresgoiti
Nicolás Mariscal
José Ignacio Mariscal
María Isabel Mata
Raúl Obregón
Roberto Quiroz
I Alexis E. Rovzar
Lorenzo Sendra
Daniel Servitje

Alternative Members

Jaime Chico Pardo
Paul Davis
Federico Reyes
Alejandro Hernández
Francisco Zambrano
Guillermo Irurita
Mireya Jorba
Ramón Pedroza
María del Pilar Mariscal
Guillermo Lerdo de Tejada
Raúl Obregón
Javier de Pedro
Francisco Laresgoiti
Rosa María Mata
Vicente Corta
Jorge Sendra
Pablo Elizondo

GOVERNANCE COMMITTEES

Audit Committee
Chairman
Henry Davis

Arturo Fernández
Agustín Irurita
Alexis E. Rovzar

Secretary
Guillermo Sánchez Arrieta

Evaluation and Results Committee
Chairman
Raúl Obregón

Javier De Pedro
José Antonio Fernández
Roberto Quiroz
Daniel Servitje
Roberto Servitje

Secretary
Javier Millán

Corporate Practices Committee
Chairman
Ricardo Guajardo

Henry Davis
José Antonio Fernández

Secretary
Luis Miguel Briola

Finance and Planning Committee
Chairman
José Ignacio Mariscal

Ricardo Guajardo
Mauricio Jorba
Raúl Obregón
Lorenzo Sendra
Daniel Servitje
Guillermo Quiroz

Secretary
Luis F. Sampson

BOARD MEMBERS

Roberto Servitje
Chairman, Grupo Bimbo
Board member of:
Fomento Económico Mexicano, S.A.B. de C.V.
Chrysler de México, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Escuela Bancaria y Comercial
Memorial Hermann International Advisory Board (Houston, Texas)
Grupo Aeroportuario del Sureste, S.A.B. de C.V.

Henry Davis
Chairman, Promotora DAC, S.A.
Board member of:
Grupo Financiero IXE, S.A. de C.V.
Kansas City Southern
Telefónica Móviles México, S.A. de C.V.
Afianzadora Aserta Insurgentes, S.A.

José Antonio Fernández
Chairman and CEO, Fomento Económico Mexicano, S.A.B. de C.V.
Chairman, Coca-Cola FEMSA, S.A.B. de C.V.
Chairman, Fundación FEMSA
Chairman, US-Mexico Foundation
Co-Chairman, Woodrow Wilson Center Mexico Institute
Vice Chairman, Instituto Tecnológico y de Estudios Superiores de Monterrey
Board member of:
Grupo Financiero BBVA Bancomer
Industrias Peñoles, S.A.B. de C.V.
Grupo Televisa
Volaris
Xignux, S.A. de C.V.
Cemex, S.A.B. DE CV.

Raúl Obregón
Managing Partner, Alianzas, Estrategia y Gobierno Corporativo, S.C.
Affiliated to Proxy Gobernanza Corporativa, S.C.
Board member of:
Grupo Palacio de Hierro, S.A.B. de C.V.
Invermat, S.A. de C.V.
Comercializadora Círculo CCK, S.A. de C.V.
Altamira Unión de Crédito S.A de C.V.
Fondo Nacional de Infraestructura, Independent member of the evaluation and financing sub-committee.
Instituto Autónomo de México, Governing Board member.
Alternate Board member and audit and corporate governance committee member of:
Industrias Peñoles S.A.B. de C.V.
Grupo Nacional Provincial S.A.B. de C.V.

Nicolás Mariscal
CEO, Grupo MARHNOS
Board member,
Fundación Mexicana para el Desarrollo Rural, A.C.
Vice Chairman, Urban Land Institute - Mexico

Ricardo Guajardo
Board member of:
Grupo Financiero BBVA Bancomer
Instituto Tecnológico y de Estudios Superiores de Monterrey
Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Coca-Cola FEMSA, S.A.B. de C.V.
Grupo Industrial Alfa
El Puerto de Liverpool
Grupo Aeroportuario del Sureste (ASUR)
Grupo COPPEL
Vice-Chairman, Fondo para la Paz
Chairman, SOLFI

Agustín Irurita
Board member, Grupo ADO
Member of the national board and executive committee, Confederación Patronal de la República Mexicana (COPARMEX)
Board member of:
Cámara Nacional de Autotransporte de Pasaje y Turismo (lifetime member)
Grupo Comercial Chedraui, S.A. de C.V.
Fincomún Servicios Financieros Comunitarios, S.A. de C.V.
Grupo Financiero Aserta, S.A. de C.V.

Lorenzo Sendra
Chairman, Proarce, S.A. de C.V. and Plasterex, S.A. de C.V.
Board member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Financiera Finamigo
Frialsa
Equinoccio, S.A. de C.V.
Extended Suites, S.A. de C.V.

Daniel Servitje
CEO, Grupo Bimbo, S.A.B. de C.V.
Board member of:
Coca-Cola FEMSA, S.A.B. de C.V.
Grupo Financiero Banamex, S.A. de C.V.
The Consumer Goods Forum
Grocery Manufacturers of America

Alexis Rovzar
Partner of counsel in the Latin American Practice Group of White & Case LLP
Board member of:
Coca-Cola FEMSA, S.A.B. de C.V.
Fomento Económico Mexicano, S.A.B. de C.V.
Grupo ACIR
Grupo COMEX
The Bank of Nova Scotia
Endeavor Mexico, A.C.
Appleseed Mexico, A.C.
Provivah, A.C.
Philharmonic Orchestra of the Americas
Council of the Americas
Procura, A.C.
Qualitas of Life Foundation and other nonprofit organizations

J. Roberto Quiroz
Chairman and CEO, Grupo Industrial Trébol
Board member of:
Grupo Valacci, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Grupo Invermat, S.A. de C.V.
Fundación J.T.M., A.C.
Advisory board member, Grupo Financiero Banamex

José Ignacio Mariscal
MARHNOS GROUP Executive President
Executive President, Una Sola Economía del CCE (Consejo Coordinador Empresarial)
VP, Fincomún Servicios Financieros Comunitarios
VP, Fundación FinComún
Member of the board, executive committee and Chairman's Office, Coparmex
Member of the board and executive committee, Comisión Ejecutiva de la Confederación USEM
Member of the Board:
Grupo Financiero Aserta
Grupo Calidra
Sociedad de Inversión de Capital de Grupo Posadas de México
Former President and Member of the Board of Uniapac International
Former President and Vigilance Committee of IMDOSOC

María Isabel Mata
CEO, Fundación José T. Mata
Member of the Administration Board of Tepeyac, A.C.

Luis Jorba
CEO, Frialsa Frigoríficos
Chairman, Efform, S.A. de C.V.
Board member of:
Texas Mexico Frozen Food Council
International Association of Refrigerated Warehouses
World Food Logistics Organization
World Group of Warehouses

Francisco Laresgoiti
CEO, Grupo Laresgoiti
Board member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Grupo Financiero Aserta, S.A.
Member of the board of finance:
Desarrollo Rural, S.A. de C.V.

Arturo Manuel Fernández
Dean, Instituto Tecnológico Autónomo de México (ITAM)
Board member of:
Industrias Peñoles, S.A.B. de C.V.
Grupo Nacional Provincial, S.A.B. de C.V.
Grupo Palacio de Hierro, S.A.B. de C.V.
Valores Mexicanos, Casa de Bolsa, S.A.B. de C.V.
Crédito Afianzador, S.A.
Grupo Financiero BBVA Bancomer
Fomento Económico Mexicano, S.A.B. de C.V.
Fresnillo plc

Mauricio Jorba
Board member of:
VIDAX
Promociones Monser, S.A. de C.V.

ADVISORY BOARD

Organización Latinoamérica

João Alves de Queiroz
Chairman, Monte Cristalina S.A.
São Paulo, Brazil

Alberto Hoyos
Chairman, Compañía de Galletas Noel S.A.
Medellín, Colombia

Victor Milke
CEO,Corporación Premium, S.C.
Mexico City

Luis Pagani
Chairman, Grupo Arcor
Buenos Aires, Argentina

Leslie Pierce Diez
General Manager, Alicorp S.A.
Lima, Peru

Lorenzo Sendra
Chairman, Proarce S.A. de C.V.
Mexico City

Eduardo Tarajano
Private Investor
Key Biscayne, Florida

Roberto Servitje
Chairman, Grupo Bimbo

Daniel Servitje
CEO, Grupo Bimbo

Guillermo Quiroz
CFO, Grupo Bimbo

Alberto Díaz
CEO, Organización Latinoamérica

Corporate

GOVERNANCE POLICY

Bolstering investor confidence

Throughout its development, Grupo Bimbo has always put the principles of business ethics into practice. Grupo Bimbo adheres to the Code of Best Corporate Practices, an initiative of the Mexican Stock Exchange (BMV), which establishes the basis of corporate governance for companies in Mexico, particularly those listed on the BMV, thus bolstering investor confidence.

At Grupo Bimbo, these principles for sound business management are applied through the Board of Directors, among whose duties include helping management define policies and strategies, as well as recommending ways to increase efficiency in order to benefit shareholder interests. The Board also participates in decisions related to the effective allocation of the Group's resources, specifically for investments or divestitures.

Structure of the Board of Directors

The Board of Directors of Grupo Bimbo is comprised of 17 directors and 17 alternate directors nominated and ratified at the Shareholders' Meeting on April 14, 2010.

The Board relies on the support of four governance committees to carry out its functions:

Audit Committee

Comprised solely of Independent Directors, its principal function is to verify that Grupo Bimbo's operations are carried out in accordance with applicable regulations; the committee has the authority to evaluate and supervise management's activities related to compliance with accounting policies and practices, to assess the performance of Grupo Bimbo's external and internal auditors, to investigate violations of internal control and internal auditing policies, and to evaluate policies for risk management, among others. The Audit Committee also issues opinions on any material changes in the accounting policies, criteria and practices applied in the preparation of Grupo Bimbo's financial statements, as well as on matters concerning the execution of material or unusual transactions.

Corporate Practices Committee

Pursuant to the provisions of the Securities Law, as amended in December 2005, the Board of Directors of Grupo Bimbo established a committee to conduct corporate practices activities. Comprised solely of Independent Directors, this Committee has the authority to issue opinions on related party transactions, the appointment, evaluation and dismissal of the Chief Executive Officer and other senior officers, and on policies for the overall compensation of the Chief Executive Officer and the senior officers of Grupo Bimbo.

Evaluation and Results Committee

Responsible for analyzing and approving the general compensation structure of Grupo Bimbo, as well as the policies and guidelines for compensation and development programs for officers and employees of Grupo Bimbo and its subsidiaries. This committee also has the authority to analyze Grupo Bimbo's financial results and their impact on the general compensation structure of the Group.

Finance and Planning Committee

Responsible for analyzing and submitting for approval to the Board of Directors its evaluation of Grupo Bimbo's long-term strategies and its principal investment and financing policies, as well as identifying risks and the evaluating risk management policies.

Code of Ethics

Grupo Bimbo also relies on self-regulated measures that govern its business practices, such as the Code of Ethics that covers general aspects and policies for interacting with various groups in its environment:

- With associates, to ensure respect for their dignity and individuality and to facilitate an environment for their well-being and development.
- With shareholders, to provide them with a reasonable profit on a sustained basis.
- With suppliers, to maintain cordial relations and promote their development.
- With customers, to provide exemplary service and

support their growth and development through the value of our brands.

- With our competitors, to compete vigorously and objectively on the basis of fair trade practices.
- With consumers, to guarantee healthy foods and a variety of products through continuous improvement.
- With society, to promote the strengthening of universal ethical values and to support the economic and social growth of the communities where we operate.

Conflicts of Interest

Internally, in order to avoid conflicts between the personal interests of associates and those of the company, and to facilitate a solution if required, all associates must declare any financial or non-financial interest they may have that might conflict with their duties at Grupo Bimbo.

In the case of executives and directors, a "Conflicts of Interest" policy has been established with a special form that must be completed annually for this purpose. Breach of this policy may result in employment termination.

Management's discussion

AND ANALYSIS OF RESULTS

Unless otherwise stated, all figures herein are expressed in millions of nominal Mexican pesos and are prepared in accordance with Mexican Financial Reporting Standards.

Overview

Grupo Bimbo's results in 2010 reflected significant efforts to sustain volume growth, in a weak economic environment, combined with higher raw material costs. Net sales rose 0.7% to Ps. 117,163, while operating income declined 5.5% to Ps. 11,393, with a 0.6 percentage point contraction in the margin to 9.7%, and net majority income fell 9.4% to Ps. 5,395.

Factors Affecting Performance

The key factors and trends that impacted the Company's operating and financial performance in 2010 included:

- A challenging consumption environment prevailed across many of the Company's markets, reflecting a weak recovery from the global economic recession of 2008-2009. The impact on consumer spending put pressure on prices, although volumes continued to improve sequentially over the course of the year, driven in part by the Company's investments in innovation, marketing and sales efforts, as well as by offering value to consumers.

- The revaluation of the Mexican peso vs. the US dollar had a mixed effect, with a negative impact on the Company's revenues, as sales in US dollars were lower when converted into pesos, and conversely there was a benefit in raw material priced in US dollars in most of the Latin American countries.

- A less favorable cost environment for raw materials compared to 2009, particularly in the latter months of the year, as a result of increasing pressure in the international commodities markets. In the case of wheat, which is the basis for the Company's principal input of flour, the average market price in 2010 increased approximately 9% from the average 2009 price.

~ Two non-cash extraordinary items registered as expenses against the income statement this year.

~ Continued confidence in the Company's ability to generate cash and meet its financial obligations, as evidenced by the strong demand and favorable terms for Grupo Bimbo's first international debt issue, a US$800 million senior notes offering.

Net Sales

Net sales totaled Ps. 117,163 in 2010, a 0.7% increase over 2009 driven by growth in Mexico and Latin America, which helped offset the decline in the United States due to the exchange rate effect when accounting in pesos.

In Mexico, sales rose 4.5% to Ps. 57,870, reflecting volume growth in the snacks, sweet baked goods, and packaged bread categories, among others.

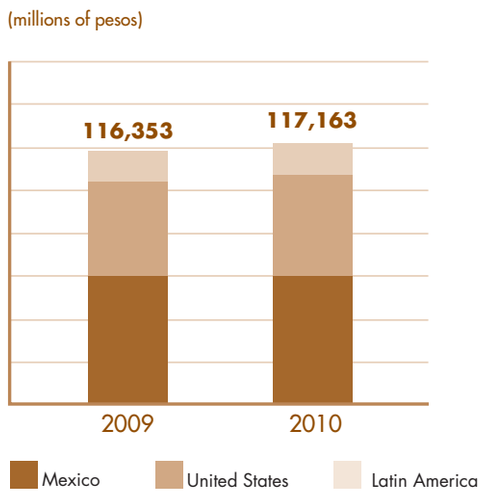
In the United States, net sales declined 4.0% despite volume growth in the year, to Ps. 47,875 as a result of lower average product prices and the impact of currency translation. In dollar terms, sales rose 2.0%, reflecting growth in the premium bread categories as well as the national launches of Bimbo bread and Sandwich Thins, among others.

In Latin America, net sales rose 4.4% to Ps. 14,207 as a result of higher volumes reflecting new product launches, new clients and continued expansion of the distribution network. Performance was strongest in Brazil, Chile and Colombia.

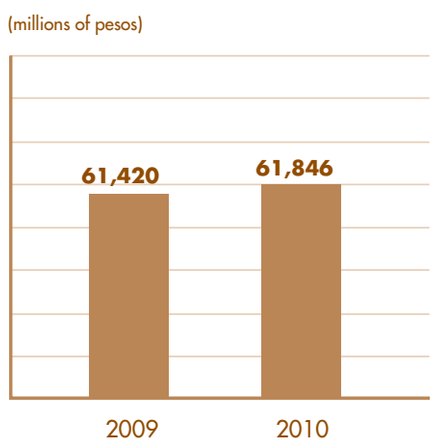
Gross Profit

Consolidated gross profit in the year totaled Ps. 61,846, a 0.7% rise over 2009. Gross margin remained unchanged at 52.8%. Although pressure on raw material costs increased progressively over the year, the revaluation of the peso strengthened performance in Mexico during the year, which was sufficient to offset the negative impact of higher commodity costs and lower average product prices in the United States.

NET SALES



GROSS PROFIT



On a regional basis, the gross margin in Mexico expanded 0.9 percentage points to 56.0% reflecting lower commodity costs for much of the year combined with the aforementioned revaluation of the peso, both of which were sufficient to offset higher costs in the last quarter of the year.

In the United States, the margin declined by 1.0 percentage point to 49.5%, the combined result of higher commodity prices and lower average product prices that could not be offset by the increase in sales volume.

In Latin America, the gross margin was 40.5%, 1.8 percentage points lower than in the previous year. This was primarily the result of higher labor costs in some of the Company's operations in the region, as well as cost pressure in certain raw materials.

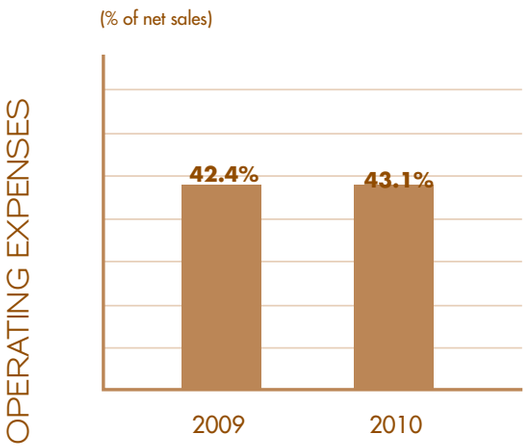
Operating Expenses

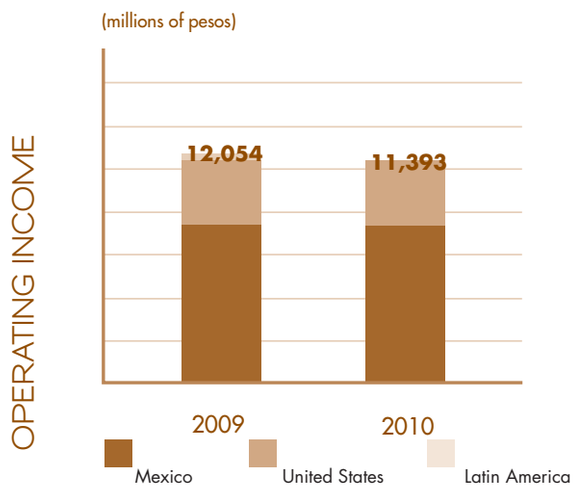
Operating expenses represented 43.1% of net sales, a year-over-year increase of 0.6 percentage points.

This mainly reflected: i) a greater level of investment in advertising and promotion intended to boost consumption and drive volumes; ii) addition of new distribution routes, primarily in Latin America; iii) an extraordinary non-cash provision of Ps. 346 for legal contingencies in Brazil, in line with a more conservative approach of creating a reserve for the expected cost of open lawsuits compared to the previous practice of recording actual payments disbursed each year; and iv) at the holding company level Ps. 222 in expenses associated with acquisitions that would have ordinarily been considered part of the acquisition cost, but in accordance with a change in Mexican GAAP were recognized in full.

Operating Income

On a consolidated basis, operating income fell 5.5% to Ps. 11,393 in 2010, with a 0.6 percentage point contraction margin to 9.7%. Better absorption of fixed expenses in all regions helped offset pressure on the gross margin from the increase in raw materials.





In Mexico, operating income totaled Ps. 8,013, a rise of 6.9% over 2009. The operating margin increased by 0.3 percentage points, to 13.8%, reflecting top line growth and gross margin improvement; excluding the extraordinary expense for acquisition related expenses at the holding company level, the operating margin would have increased 0.7 percentage points to 14.2%.

Operating income in the United States declined 12.3% to Ps. 3,738, with a 0.7 percentage point decrease in the margin to 7.8%. This was due to the aforementioned pressure on the gross margin combined with the planned increase in distribution to enhance the penetration of the Company's brands; these factors were somewhat offset by administrative efficiencies in the operation.

In Latin America, gross margin pressure, higher investment made in new routes and the extraordinary provision in Brazil led to a Ps. 340 operating loss in the year. Excluding the extraordinary expense, operating margin would have been slightly above breakeven at 0.1%.

Comprehensive Financing Result

Comprehensive financing resulted in a Ps. 2,623 cost in 2010, compared to Ps. 2,012 in 2009. This was due to higher interest rates associated with longer debt maturities to achieve an amortization profile in line with the Company´s strategy, and an exchange loss.

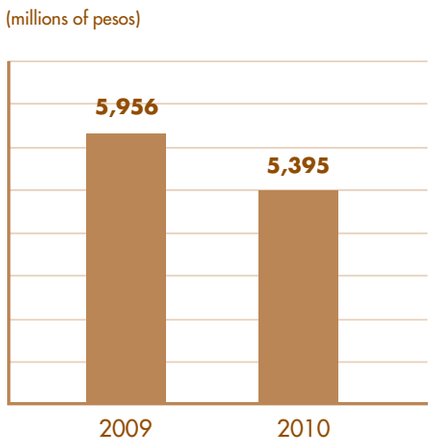
Taxes

The effective income tax rate for 2010 was 29.9%, lower than the 31.7% in 2009. This was due to the benefit of new deferred taxes reflecting losses in previous periods.

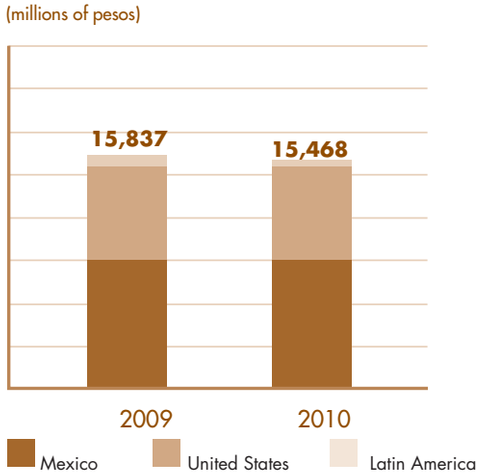
Net Majority Income

Net majority income fell 9.4% to Ps. 5,395, while the margin contracted 51 basis points to 4.6%. This result is explained by: pressure on gross and operating profit, as well as the increase in comprehensive financing costs.

NET MAJORITY INCOME



EBITDA



Earnings Before Interest, Taxes, Depreciation and Amortization (EBITDA)

EBITDA totaled Ps. 15,468, a decrease of 2.3% compared to 2009. EBITDA margin was 13.2%, or 41 basis points lower than in 2009.

Financial Structure

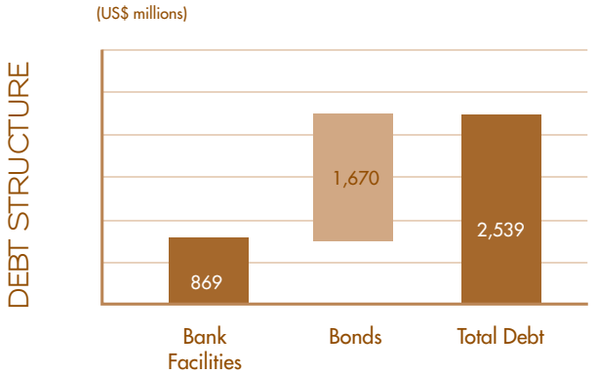
As of December 31, 2010, the Company's cash position totaled Ps. 3,325, compared to Ps. 4,981 in 2009, among other factors due to payment of the Dulces Vero acquisition and US$300 million from cash holdings used to pay down debt during the year.

Total debt at December 31, 2010 was Ps. 33,210, compared to Ps. 36,740 in the year ago period. This reflected payments made over the course of the year towards debt obligations. Short-term debt at year-end 2010 comprised only 5% of the total and in terms of the currency mix, 49% was in Mexican pesos.

The Company´s solid debt profile was enhanced with the issuance in June of US$800 million in 10-year senior notes. The Company's first global offering was strongly oversubscribed by US and European investors, and proceeds were used to refinance obligations and extend the average life of debt over five years.

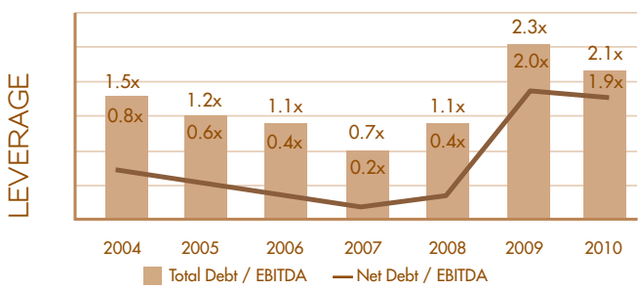
Strong cash generation resulted in a lower year over year net debt position: Ps. 29,885 at December 2010, compared to Ps. 31,759 registered in 2009.

DEBT STRUCTURE

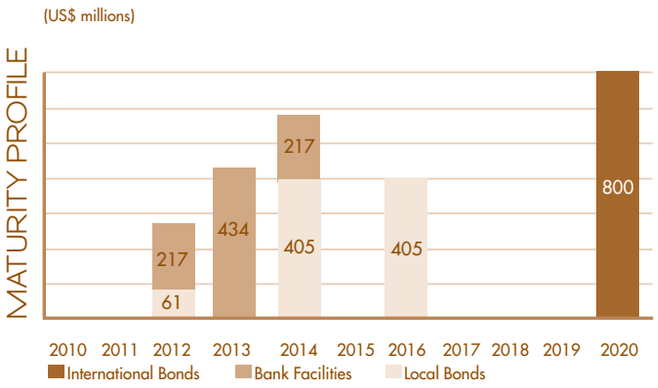


Figures as of December 31, 2010.

LEVERAGE



MATURITY PROFILE



Figures as of December 31, 2010.

Audit COMMITTEE'S LETTER

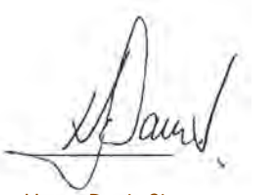
Mexico City, March 17, 2011

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as Chairman of the Audit Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point 3, section II of article 42 of the Securities Market Act, I hereby present to you the Committee's opinion on the content of the Chief Executive Officer's report on the financial position and results of the Company for the year ended December 31, 2010.

In the opinion of the Committee, the accounting and information policies and standards followed by the Company and considered in the preparation of the consolidated financial information are appropriate and sufficient, and accordingly with Mexican financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial position and results of the Company for the year ended December 31, 2010.

Sincerely,



Henry Davis Signoret
Chairman of the Audit Committee
Of Grupo Bimbo, S.A.B. de C.V.

Audit COMMITTEE REPORT

Mexico City, March 17, 2011

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

Dear Sirs,

In conformity with the provisions of the Securities Market Act, the corporate charter of this Company and the Regulations of the Audit Committee, I hereby present to you the report of the activities carried out by the Audit Committee during the year ended December 31, 2010. In carrying out our work, we abided by the recommendations established in the Code of Best Corporate Practices.

The Committee met in plenary sessions five times during the year, and according to its work plan, carried out the activities described below:

EXTERNAL AUDIT

The external audit of the financial statements for fiscal year 2010 was included in the negotiations carried out in 2008, so the independent auditing firm remains the same, and a single firm is responsible for auditing the results of all the operations and countries where Grupo Bimbo has a presence. The fee for these auditing services were agreed upon in the original negotiation, so these were approved, including additional fees to account for the growth of the group and other permitted services. We ensured that these payments did not interfere with the independence of that firm.

We verified and confirmed that the firm had maintained its independence. We also analyzed with them their approach, work program and areas of interaction with Grupo Bimbo's Internal Audit department.

We maintained direct and ongoing communication with the external auditors during the meetings of this Committee, and they kept us regularly informed of the progress of their work and any observations they had; we took note of their comments on the quarterly and annual financial statements. We were promptly informed of their conclusions and reports on the annual financial statements.

We conducted the evaluation of the services of the external auditing firm for the year 2010 and were promptly informed of the preliminary financial statements.

INTERNAL AUDIT

We reviewed and approved the annual work plan and activities budget.
We received and approved regular reports on the progress of the approved work plan.
We followed up on the comments and suggestions made, as well as on their implementation.
We verified the existence and effectiveness of an annual training plan.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

We reviewed the quarterly and annual financial statements of the Company together with the parties responsible for their preparation, recommended their approval by the Board of Directors, and authorized their publication. Throughout the process we took into account the opinions and remarks of the external auditors.

To arrive at an opinion on the financial statements, we verified, with the support of the internal and external auditors, that the accounting policies and standards and the information used by management in the preparation of the financial statements was appropriate and sufficient. As a result, the information presented by management reasonably reflects the financial position, results of operations, changes in stockholders' equity and cash flows of the Company.

We approved the adoption of the new accounting procedures and standards that took effect in 2010 and were issued by the organization responsible for accounting standards in Mexico.

INTERNAL CONTROLS

We verified that management had established general guidelines for internal control, as well as the necessary procedures for their implementation and compliance. In addition, we followed up on the remarks and observations made by the external and internal auditors in performance of their duties.

The members of Management responsible for such matters presented us with the plans of action corresponding to the observations resulting from the internal audit, so our contact with them was frequent and their responses satisfactory.

COMPLIANCE WITH REGULATORY STANDARDS AND LAWS. CONTINGENCIES

With the support of the internal and external auditors, we confirmed the existence and reliability of the controls established by the Company to assure compliance with the various legal provisions to which it is subject, and assured that these were appropriately disclosed in the financial information.

We periodically reviewed the Company's various tax, legal and labor contingencies and confirmed that appropriate procedures were in place to identify and address them in an appropriate manner.

CODE OF ETHICS

With the support of the Internal Audit Department and other areas of the Company, we verified compliance by the Associates of the Company with the current Code of Ethics.

We were promptly informed of progress toward the introduction of a hotline for Group Associates, which will begin operating in the second half of this year.

COMPLIANCE WITH OTHER OBLIGATIONS

We held meetings with Management executives and officers as considered necessary to remain abreast of the progress of the Company and any material or unusual activities and events.

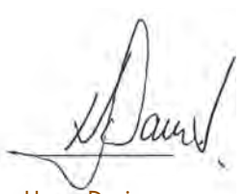
We obtained information about significant matters that could involve a possible breach of operating policies, the internal control system and policies on accounting records, and we were also informed of corrective measures taken in each case, and found them satisfactory.

We did not find it necessary to request the support or opinion of independent experts, because the issues raised in each meeting were duly supported by the information on hand, and the conclusions reached were satisfactory to Committee members.

In my capacity as Chairman of the Audit Committee, I submitted a quarterly report to the Board of Directors on the activities conducted within the Committee.

The work that we conducted was duly documented in minutes of each meeting, which were reviewed and approved at the time by the Committee members.

Sincerely,



Henry Davis
Chairman of the Audit Committee
Grupo Bimbo, S.A.B. de C.V.

Corporate PRACTICES COMMITTEE REPORT

February 17, 2011

Roberto Servitje
Chairman of the Board of Directors
Grupo Bimbo, S.A.B. de C.V.

Prolong. Paseo de la Reforma No. 1000
Colonia Peña Blanca Santa Fe
Deleg. Álvaro Obregón
01210 México, D.F.

In re: Report on the Activities of the Corporate Practices Committee

Dear Don Roberto,

This letter serves to inform you that the Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. ("Bimbo") met on three occasions during the 2010 fiscal year pursuant to the provisions of the corporate charter and the Securities Market Law.

In these meetings, the Committee reviewed a variety of issues within its authority, some of the most important of which were:

1. Approval of Reports and Compliance Certificates by the various organizations within Bimbo for fiscal year 2010.

2. Review of the report by the Company's external auditors and the VP of Internal Audit for audits conducted in 2010, which were duly adopted by the Committee.

3. Review and recommendation for approval by the Board of each and every related party transaction requiring approval by the Board of Directors, including the sale of the González Gallo building, and investment of the Group's pension fund in capital development certificates issued by Marhnos and Capital Inmobiliaria.

4. Review and recommendation for approval by the Board of the policies for the designation, evaluation and compensation of the Chief Executive Officer as well as the members Bimbo's Executive Committee in 2010.

The Committee received the necessary information from the directors and officers of Bimbo, who made themselves available for interviews with the Committee. These meetings were documented in minutes and accompanied by supporting materials prepared by management.

Please do not hesitate to contact me if you have any questions or comments in connection with the above.

Sincerely,

Ricardo Guajardo
Chairman of the Corporate Practices Committee

Independent AUDITORS' REPORT

Independent Auditors' Report to the Board of Directors and Stockholders of
Grupo Bimbo, S. A. B. de C. V.

We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S. A. B. de C. V. and subsidiaries (the "Company") as of December 31, 2010 and 2009, and the related consolidated statements of income, changes in stockholders' equity and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with Mexican Financial Reporting Standards. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the financial reporting standards used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S. A. B. de C. V. and subsidiaries as of December 31, 2010 and 2009, and the results of their operations, changes in their stockholders' equity and their cash flows for the years then ended in conformity with Mexican Financial Reporting Standards.

The accompanying consolidated financial statements have been translated into English for the convenience of users.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
Member of Deloitte Touche Tohmatsu Limited



C. P. C. Jorge Alamillo Sotomayor

March 14, 2011

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries

CONSOLIDATED BALANCE SHEETS

As of December 31, 2010 and 2009
(In millions of Mexican pesos)

		2010		2009
Assets				
Current assets:				
Cash and cash equivalents	$	3,325	$	4,981
Accounts and notes receivable– net		13,118		12,430
Inventories– net		3,149		2,969
Prepaid expenses		440		499
Derivative financial instruments		180		146
Total current assets		20,212		21,025
Notes receivable from independent operators		2,140		1,940
Property, plant and equipment– net		32,028		32,763
Investment in shares of associated companies and other permanent investments		1,553		1,479
Derivative financial instruments		393		159
Deferred income taxes		1,539		635
Intangible assets– net		19,372		19,602
Goodwill		19,884		20,394
Other assets– net		1,948		1,669
Total	$	99,069	$	99,666
Liabilities and stockholders' equity				
Current liabilities:				
Current portion of long–term debt	$	1,624	$	4,656
Trade accounts payable		5,954		5,341
Other accounts payable and accrued liabilities		6,302		6,228
Due to related parties		802		238
Income taxes		624		3,272
Statutory employee profit sharing		709		637
Derivative financial instruments		–		74
Total current liabilities		16,015		20,446
Long–term debt		31,586		32,084
Derivative financial instruments		231		54
Employee labor obligations and workers' compensation		4,621		4,644
Deferred statutory employee profit sharing		249		290
Deferred income taxes		622		266
Other liabilities		1,208		925
Total liabilities		54,532		58,709
Stockholders' equity:				
Capital stock		8,006		8,006
Reserve for repurchase of shares		759		759
Retained earnings		35,505		30,698
Accumulated translation effects of foreign sudsidiaries		(541)		675
Valuation of financial instruments		(19)		(34)
Controlling stockholders' equity		43,710		40,104
Noncontrolling interest in consolidated subsidiaries		827		853
Total stockholders' equity		44,537		40,957
Total	$	99,069	$	99,666

See accompanying notes to consolidated financial statements.

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries

CONSOLIDATED STATEMENTS OF INCOME

For the years ended December 31, 2010 and 2009
(In millions of Mexican pesos, except basic earnings per common share)

	2010	2009
Net sales	$ 117,163	$ 116,353
Cost of sales	55,317	54,933
Gross profit	61,846	61,420
General expenses:		
Distribution and selling	42,933	41,724
Administrative	7,520	7,642
	50,453	49,366
Income after general expenses	11,393	12,054
Other expenses, net	950	1,176
Net comprehensive financing cost:		
Interest expense, net	2,574	2,318
Exchange loss (gain), net	94	(207)
Monetary position gain	(45)	(99)
	2,623	2,012
Equity in income of associated companies	87	42
Income before income taxes	7,907	8,908
Income tax expense	2,363	2,827
Consolidated net income for the year	$ 5,544	$ 6,081
Net income of controlling stockholders	$ 5,395	$ 5,956
Net income of noncontrolling stockholders	$ 149	$ 125
Basic earnings per common share	$ 4.59	$ 5.07
Weighted average number of shares outstanding (000's)	1,175,800	1,175,800

See accompanying notes to consolidated financial statements.

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries

CONSOLIDATED STATEMENTS OF CHANGES IN

For the years ended December 31, 2010 and 2009
(In millions of Mexican pesos)

	Capital stock	Reserve for repurchase of shares
Balances, January 1, 2009	$ 8,006	$ 759
Increase of capital stock of noncontrolling interest	–	–
Dividends declared	–	–
Balances before comprehensive income	8,006	759
Consolidated net income for the year	–	–
Effect of valuation of financial instruments	–	–
Translation effects of foreign subsidiaries	–	–
Income tax effect due to 2010 tax reform on tax consolidation	–	–
Comprehensive income	–	–
Balances, December 31, 2009	8,006	759
Dividends declared	–	–
Balances before comprehensive income	8,006	759
Consolidated net income for the year	–	–
Effect of valuation of financial instruments	–	–
Translation effects of foreign subsidiaries	–	–
Comprehensive income	–	–
Balances, December 31, 2010	$ 8,006	$ 759

See accompanying notes to consolidated financial statements.

STOCKHOLDERS' EQUITY

Retained earnings	Accumulated translation effect	Valuation of financial instruments	Controlling stockholders' equity	Noncontrolling interest in consolidated subsidiaries	Total stockholders' equity
$ 24,473	$ 1,189	$ (163)	$ 34,264	$ 710	$ 34,974
–	–	–	–	99	99
(541)	–	–	(541)	(78)	(619)
23,932	1,189	(163)	33,723	731	34,454
5,956	–	–	5,956	125	6,081
–	–	129	129	–	129
–	(514)	–	(514)	(3)	(517)
810	–	–	810	–	810
6,766	(514)	129	6,381	122	6,503
30,698	675	(34)	40,104	853	40,957
(588)	–	–	(588)	(126)	(714)
30,110	675	(34)	39,516	727	40,243
5,395	–	–	5,395	149	5,544
–	–	15	15	–	15
–	(1,216)	–	(1,216)	(49)	(1,265)
5,395	(1,216)	15	4,194	100	4,294
$ 35,505	**$ (541)**	**$ (19)**	**$ 43,710**	**$ 827**	**$ 44,537**

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries

CONSOLIDATED STATEMENTS OF CASH FLOWS

For the years ended December 31, 2010 and 2009
(In millions of Mexican pesos)

	2010	2009
Operating activities:		
Income before income taxes	$ 7,907	$ 8,908
Items related to investing activities:		
Depreciation and amortization	3,729	3,783
Loss on sale of property, plant and equipment	175	183
Equity in income of associated companies	(87)	(42)
Impairment of long–lived assets	19	56
Items related to financing activities:		
Interest expense	3,558	3,269
Interest income	(559)	(371)
Unrealized exchange loss on long–term debt	–	198
Changes in current assets and liabilities:		
Accounts and notes receivable	(1,195)	(188)
Inventories	(183)	39
Prepaid expenses	4	(68)
Trade accounts payable	914	(361)
Other accounts payable and accrued liabilities	878	(619)
Due to related parties	564	134
Income tax paid	(4,415)	(2,350)
Derivative financial instruments	(143)	155
Statutory employee profit sharing	31	52
Employee labor obligations and workers' compensation	178	671
Net cash flows from operating activities	11,375	13,449
Investing activities:		
Acquisition of property, plant and equipment	(4,091)	(3,613)
Proceeds from sale of property, plant and equipment	116	457
Acquisition of trademarks and other assets	–	(83)
Dividends received	16	10
Investments in shares of associated companies	(3)	(29)
Acquisition of business	(2,012)	(35,140)
Net cash flows used in investing activities	(5,974)	(38,398)
Excess cash to apply to (to be obtained from) financing activities	5,401	(24,949)
Financing activities:		
Proceeds from long–term debt	11,625	42,397
Payment of long–term debt	(14,826)	(16,262)
Interest paid	(2,675)	(2,682)
Payments of interest rate swaps	(853)	(523)
Interest collected	460	295
Dividends paid	(714)	(619)
Net cash flows from (used in) financing activities	(6,983)	22,606
Adjustments to cash flows due to exchange rate fluctuations and inflationary effects	(74)	(15)
Net decrease in cash and cash equivalents	(1,656)	(2,358)
Cash and cash equivalents at the beginning of the year	4,981	7,339
Cash and cash equivalents at the end of the year	$ 3,325	4,981

See accompanying notes to consolidated financial statements.

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

For the years ended December 31, 2010 and 2009
(In millions of Mexican pesos)

1. The Company

Grupo Bimbo, S. A. B. de C. V. and subsidiaries ("Grupo Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America ("USA"), Central and South America ("OLA"), Europe and China. Due to its insignificance, the financial information of the European and Chinese regions is aggregated with Mexico in the disclosures that follow.

In 2009, a significant business acquisition was made in the USA as detailed in Note 2.

2. Basis of presentation

Explanation for translation into English – The accompanying consolidated financial statements have been translated from Spanish into English for use outside of Mexico. These consolidated financial statements are presented on the basis of Mexican Financial Reporting Standards ("MFRS"), with individual standards referred to as Normas de Información Financiera ("NIF"). Certain accounting practices applied by the Company that conform with MFRS may not conform with accounting principles generally accepted in the country of use.

Monetary unit of the financial statements – The financial statements and notes as of December 31, 2010 and 2009 and for the years then ended include balances and transactions denominated in Mexican pesos of different purchasing power.

Consolidation of financial statements – At December 31, 2010 and 2009, the consolidated financial statements include those of Grupo Bimbo, S. A. B. de C. V. and its subsidiaries, of which the more significant subsidiaries are shown below:

Subsidiary	Ownership percentage	Principal business
Bimbo, S. A. de C. V.	97	Bakery
Bimbo Bakeries USA, Inc. ("BBU")	100	Bakery
Barcel, S. A. de C. V.	97	Candies and snacks
Bimbo do Brasil, Ltda.	100	Bakery

All significant intercompany balances and transactions have been eliminated in these consolidated financial statements.

During 2010 and 2009, net sales of Bimbo, S. A. de C. V. and Barcel, S. A. de C. V. in Mexico represented approximately 47% and 45%, respectively, of consolidated net sales. Net sales of BBU in the USA during 2010 and 2009 represented 40% and 42%, respectively, of consolidated net sales.

Acquisitions – During 2010 and 2009, the Company acquired the following businesses:

Company	Country	Acquisition cost	Date
2010:			
Various businesses	Mexico and China	$ 2,012	Various

Business Acquisitions

On December 2, 2010, Grupo Bimbo acquired the main operating assets of the business called "Dulces Vero". The acquisition of these assets strengthens the position of the Company in the confectionery market in Mexico through its subsidiary Barcel and supports the Company's strategy to reach all socio-demographic segments. As of December 31, 2010, the valuation of assets acquired and liabilities assumed is in process and will be completed in 2011. In 2010, the Company also acquired a business in China which is focused on package bread, pastries, cookies, sweet bread and ready-to-eat food, which expands its product portfolio in that country.

Sara Lee

On November 9, 2010, the Company announced an agreement to acquire the bakery business of Sara Lee Corporation in the USA ("North American Fresh Bakery") for US$959 million. The closing of the transaction is subject to the resolution of regulatory approvals. If the transaction is not closed within one year, the Company could be exposed to a transaction cancellation fee up to US$100 million.

The acquisition agreement includes the use of the license of the brand *Sara Lee*, free of royalties, for its use in bakery products in America, Asia, Africa and Eastern and Central Europe, as well as a list of regional brands with high recognition in their respective local markets.

Company	Country	Acquisition cost	Date
2009:			
Bimbo Foods, Inc. (previously Weston Foods, Inc. ("WFI"))	USA	$ 35,014	January 21
Other businesses and trademarks	Various	188	Various
		$ 35,202	

Acquisition of Bimbo Foods, Inc.

On December 10, 2008, Grupo Bimbo entered into an agreement with Dunedin Holdings, S. A. R. L., Glendock Finance Company, and other legal entities, all subsidiaries of George Weston Limited, in which Grupo Bimbo agreed to acquire the common shares of WFI, as well as other assets, including trademarks and trade receivables related to the operations of WFI, which is a group of companies engaged in the production and distribution of bread in the eastern USA. The contract was settled on January 21, 2009, after complying with certain requirements included therein.

This transaction is aligned with Grupo Bimbo's growth strategy to consolidate its global platform and its vision of becoming a global leader in the bakery segment and a relevant company in the global food segment. Goodwill generated by the acquisition, which has no income tax effects, amounted to $13,775 and is attributable to synergies that are expected to be obtained by combining WFI with Grupo Bimbo's existing business in the USA.

The agreement establishes certain indemnifications for both the buyer and the seller. Among those are a net working capital adjustment final settlement paid by the buyer to the seller for US$29 million and an indemnification from the seller to the buyer for up to US$42.5 million if certain contingencies materialize, of which a substantial amount of approximately US$15.5 million did not materialize and therefore has no effect on the Company.

The purchase price of the shares and certain assets of WFI amounted to US$2,505 million.

Sources of Financing

For this acquisition, the Company obtained financing in the amount of US$2,300 million, which was structured with a one-year bridge loan for the equivalent of US$600 million that was paid in June 2009 with the proceeds from the issuance of local bonds on the Mexican Stock Exchange, and a long-term loan for the equivalent of US$1,700 million, comprised of US$900 and US$800 million that mature in three and five years, respectively (see Note 11, Long-term debt). The remainder of the purchase price of US$205 million was paid with available funds.

The various contracts that formally document the financing include certain limitations on the incurrence of additional liabilities and other financial restrictions; additionally, the repayment obligations of Grupo Bimbo under such contracts are secured by the pledge of certain assets of its subsidiaries.

Accounting for the Transaction

The acquisition was recorded in conformity with NIF B-7, Business Acquisitions. The fair value determination of net assets acquired was concluded as of December 31, 2009, and incorporated in the consolidated financial statements ended on that date.

Management of the Company engaged independent specialists to assist with the identification of intangible assets with finite and indefinite lives, as well as to determine the useful lives and fair values of acquired assets, considering the valuation rules of MFRS.

Given that the acquisition of Bimbo Foods, Inc., was completed on January 21, 2009, Management believes that the financial statements are comparable in both years, as the 21 days not consolidated in 2009 are not considered material.

Translation of financial statements of foreign subsidiaries – To consolidate the financial statements of foreign subsidiaries (located principally in the USA and other Latin American countries, which represent 52% and 55% of consolidated net sales and 64% and 65% of consolidated total assets in 2010 and 2009, respectively), the accounting policies of the foreign entities are converted to MFRS using the currency in which transactions are recorded, except for the application of NIF B–10 when the foreign entity operates in an inflationary environment. The financial statements are subsequently translated to Mexican pesos considering the following methodologies:

- Foreign operations that operate in a non–inflationary environment whose functional currency is the same as the currency in which transactions are recorded translate their financial statements using the following exchange rates: 1) the closing exchange rate in effect at the balance sheet date for assets and liabilities; 2) historical exchange rates for stockholders' equity and 3) the rate on the date of accrual of revenues, costs and expenses. Translation effects are recorded in stockholders' equity.

- Foreign operations that operate in an inflationary environment whose functional currency is the same as the currency in which transactions are recorded first restate their financial statements in currency of purchasing power as of the date of the balance sheet, using the price index of their country for the functional currency, and subsequently translate those amounts to Mexican pesos using the closing exchange rate in effect at the balance sheet date for all items. Translation effects are recorded in stockholders' equity.

The activity in the accumulated translation effect caption within stockholders' equity and on the related income tax effects for the years ended December 31, 2010 and 2009 are as follows:

	2010		
	Amount	Income taxes	Net amount
Beginning balance	$ 937	$ (262)	$ 675
Translation effect for the period	(3,214)	965	(2,249)
Translation effect for hedge of net investment	1,476	(443)	1,033
Ending balance	$ (801)	$ 260	$ (541)

	2009		
	Amount	Income taxes	Net amount
Beginning balance	$ 1,699	$ (510)	$ 1,189
Translation effect for the period	(1,754)	546	(1,208)
Translation effect for hedge of net investment	992	(298)	694
Ending balance	$ 937	$ (262)	$ 675

The Company's functional currency is the Mexican peso. Since the Company has investments in foreign subsidiaries whose functional currencies are other than the Mexican peso, the Company is exposed to foreign currency translation risk. In addition, the Company has monetary assets and liabilities denominated in foreign currencies, mainly in US dollars; therefore, the Company is also exposed to foreign exchange risks arising from transactions entered into over the normal course of business.

The Company's risk management policy regarding exchange risks consists of hedging expected cash flows, principally those associated with future purchases of raw materials. Those future purchases of raw materials meet the requirements to be considered exposures associated with "highly probable" forecasted transactions for purposes of hedge accounting. When the future purchase is made, the Company adjusts the amount of the non-financial element that was hedged.

Hedging the exposure to this foreign currency translation risk is mitigated by designating one or more loans denominated in these non-functional currencies as exchange rate hedges, according to the hedge accounting model for net investments in foreign subsidiaries.

Comprehensive income – Comprehensive income presented in the accompanying statements of changes in stockholders' equity represents the changes in stockholders' equity during the year for items that are not distributions or movements of contributed capital and includes consolidated net income for the year plus other items that represent a gain or loss for the same period, which, in conformity with MFRS, are recorded directly in stockholders' equity without affecting the results of operations. The items of other comprehensive income consist of the unrealized accrued effects of derivative instruments and the translation and restatement effects of foreign subsidiaries in 2010 and 2009, and the impact of tax effects related to the tax reform applicable to tax consolidation in 2009. When assets and liabilities included in other comprehensive income are realized, those amounts are reclassified to net income, except for the translation effect of the net investments.

Classification of costs and expenses – Costs and expenses presented in the consolidated statements of income were classified according to their function because this is the practice of the sector to which the Company belongs.

Income after general expenses – Income after general expenses is the result of subtracting cost of sales and general expenses from net sales. While NIF B-3, Statement of Income, does not require inclusion of this line item in the consolidated statements of income, it has been included for a better understanding of the Company's economic and financial performance.

Reclassifications – Certain amounts in the consolidated financial statements as of and for the year ended December 31, 2009 have been reclassified to conform to the presentation of the 2010 consolidated financial statements. The only relevant reclassification is as follows: through December 31, 2009, the Company offset the majority of recoverable taxes with accrued taxes payable; however, beginning in 2010 the Company determined that in some cases, due to the different nature of the taxes and/or the inability to compensate one against the other, the balances will be independently paid and recovered, and accordingly in 2010 recoverable taxes and accrued taxes are presented separately. The effects of such reclassification were applied retroactively in the accompanying consolidated balance sheets as of December 31, 2009. The effects of the above-mentioned reclassifications is $2,825, increasing recoverable taxes within accounts receivable and other accounts payable and accrued expenses by the same amount.

3. Summary of significant accounting policies

The accompanying consolidated financial statements have been prepared in conformity with MFRS, which require that management make certain estimates and use certain assumptions that affect the amounts reported in the financial statements and their related disclosures; however, actual results may differ from such estimates.

The Company's management, upon applying professional judgment, considers that the estimates made and assumptions used were adequate under the circumstances. The significant accounting policies of the Company are as follows:

a. Accounting changes

Beginning January 1, 2010, the Company adopted the following new NIFs:

NIF C–1, Cash and Cash Equivalents – This standard requires presentation of cash and restricted cash equivalents together within the caption "cash and cash equivalents", as opposed to Bulletin C-1, which required restricted cash to be presented separately. This standard also replaces the concept "temporary investments payable on demand" with "readily available investments" and permits their classification as cash equivalents only when they have a maturity within three months from the date of acquisition.

Improvements to NIF 2010 – The main improvements that generate accounting changes are as follows:

NIF B–1, Accounting Changes and Correction of Errors – This improvement requires expanded disclosures when the Company applies a new standard.

NIF B–2, Statement of Cash Flows – This improvement requires that the impact of changes in value of cash and cash equivalents resulting from exchange rate fluctuations be presented separately within the caption "Effects from exchange rate changes on cash", presented below financing activities. In addition, this caption includes the effects of converting the cash flows and balances of foreign operations to the reporting currency as well as the effects of inflation associated with the cash flows and balances of any entities within the consolidated group that operate in an inflationary economic environment.

NIF B–7, Business Acquisitions – This improvement permits the recognition of intangible assets or provisions stemming from above– or below–market leases in a business acquisition only when the acquired business is the lessee of an operating lease. This accounting change may be recognized retroactively beginning January 1, 2010.

NIF C–7, Investments in Associated Companies and Other Permanent Investments – This improvement modifies the manner in which the effects of increases in an investment in an associated company are determined. It also requires that the effects of increases or decreases in an investment in an associated company be recognized in equity in income (loss) of associated companies, instead of under non–ordinary items in the statement of income.

NIF C–13, Related Parties – This improvement requires that if the direct parent company or the ultimate parent company of the reporting entity does not issue financial statements for public use, the reporting entity should disclose the name of the direct parent company or the closest indirect parent company that does issue financial statements available for public use.

b. Recognition of the effects of inflation – The cumulative inflation in Mexico for the three fiscal years preceding 2010 and 2009 was less than 26%, and accordingly the economic environment is considered non-inflationary under MFRS. Effective January 1, 2008, the Company discontinued recognition of the effects of inflation in its financial statements, except for those foreign entities operating in inflationary economic environments; however, assets, liabilities and stockholders' equity as of December 31, 2010 and 2009, include the restatement effects recognized through December 31, 2007 for all entities.

The cumulative inflation in most countries where the Company operates other than Mexico for the three year preceding 2010 and 2009 is also lower than 26% and accordingly qualify as non-inflationary; however, there are countries in which the Company operates whose economic environments qualify as inflationary, for which the cumulative inflation rates of the three preceding years were as follows and for which inflationary effects were recognized in 2010 and 2009:

	2010	2009
Argentina	26%	28%
Costa Rica	31%	38%
Venezuela	100%	87%
Nicaragua	34%	49%

The cumulative inflation for the three preceding fiscal years for those foreign entities operating in inflationary economic environments and which recognized the effects of inflation only in 2009 were as follows:

	2009
Uruguay	26%
Guatemala	26%
Honduras	27%
Paraguay	28%

Through December 31, 2007 for all entities and in 2010 and 2009 only for those foreign entities operating in inflationary economic environments, recognition of the effects of inflation resulted mainly in inflationary gains or losses on nonmonetary and monetary items. These effects are principally presented in the consolidated financial statements under the following line item:

- *Monetary position result* – Monetary position result, which represents the erosion of purchasing power of monetary items caused by inflation, is calculated by applying National Consumer Price Index (NCPI) factors to monthly net monetary position. Gains (losses) result from maintaining a net monetary liability (asset) position.

c. Cash and cash equivalents – Cash and cash equivalents consist mainly of bank deposits in checking accounts and readily available daily investments of cash surpluses, maturing within three months as of their acquisition date with minimal risk of value fluctuation. Cash is stated at nominal value and cash equivalents are stated at fair value. Fluctuations in carrying value are recognized in comprehensive financing cost ("CFC") as they accrue. Cash equivalents are primarily represented by investments in sovereign debt with daily maturities.

d. Inventories and cost of sales – Inventories are stated at the lower of average cost or realizable value for those entities operating in non–inflationary economic environments. For those foreign entities operating in inflationary economic environments, inventories are stated at average cost which is similar to their replacement value at year end, without exceeding net realizable value, and cost of sales is stated at the latest production cost, which is similar to replacement cost at the time goods are sold.

e. Property, plant and equipment – Property, plant and equipment are recorded at acquisition cost for those entities operating in non–inflationary economic environments. Balances from acquisitions made through December 31, 2007 for all entities were restated for the effects of inflation by applying factors derived from the NCPI through that date. Subsidiaries operating in an inflationary environment continue to restate their balances by applying the NCPI. Depreciation rates are calculated using the straight–line method based on the remaining useful lives of the related assets, as follows:

Buildings	5
Manufacturing equipment	8, 10 and 35
Vehicles	10 and 25
Office furniture and fixtures	10
Computers	30

f. Investment in shares of associated companies and other permanent investments – Permanent investments in entities where significant influence exists are initially recognized based on the net fair value of the entities' identifiable assets and liabilities as of the date of acquisition. Such value is subsequently adjusted for the portion related both to comprehensive income (loss) of the associated company and the distribution of earnings or capital reimbursements thereof. When the fair value of the consideration paid is greater than the value of the investment in the associated company, the difference represents goodwill, which is presented as part of the same investment. When the fair value of the consideration paid is less than the value of the investment, the latter is adjusted to the fair value of the consideration paid. If impairment indicators are present, investment in shares of associated companies is subject to impairment testing.

Permanent investments made by the Company in entities where it has no control, joint control, or significant influence, are initially recorded at acquisition cost, and any dividends received are recognized in current earnings, except when they are taken from earnings of periods prior to the acquisition, in which case they are deducted from the permanent investment.

g. Impairment of long–lived assets in use – The Company reviews the carrying amounts of long-lived assets in use when an impairment indicator suggests that such amounts might not be recoverable, considering the greater of the present value of future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. Impairment indicators considered for these purposes are, among others, operating losses or negative cash flows in the period if they are combined with a history or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the Company's products, competition and other legal and economic factors. During 2009, an impairment loss of $56 was recognized in the Czech Republic subsidiary. This subsidiary was sold in January 2010 and is not material to the Company as a whole. In 2010, an impairment loss of $19 on certain trademarks was also recognized.

h. Financial risk management policy – The daily activities carried out by the Company expose it to a number of inherent risks of different variables of a financial nature, as well as variations in the price of certain materials traded in formal international markets. For such reason, the Company uses derivative financial instruments to mitigate the potential impact of fluctuations in such variables and prices on its financial results. The Company believes that these instruments provide flexibility that allows greater stability of income and better visibility and certainty with regard to costs and expenses to which it will be exposed in the future.

The design and implementation of the strategy of derivative financial instruments is formally supervised by two committees: 1) The Financial Risk Committee, responsible for risk management of interest and exchange rates and 2) the Subcommittee of Risk Commodity Markets that supervises commodity risk. Both committees continuously report their activities to the Corporate Business Risk Committee, who is responsible for issuing general guidelines for the risk management strategy of the Company and for establishing limits and restrictions on the operations they can perform. The Corporate Business Risk Committee in turn reports the risk positions of the Company to the Audit and Executive Committees of the Board of Directors.

The Company's policy is to enter into derivative financial instruments only for hedging purposes. Therefore, entering into a contract of a derivative financial instrument must necessarily be associated with a primary position that represents a specific risk. Consequently, the notional amounts of one or all derivative financial instruments contracted to hedge a specific risk will be consistent with the amounts of the primary positions that represent the risk position.

The Company does not enter into transactions for which the objective is to benefit from premium income. If the Company decides to undertake a hedging strategy where options are combined, the net payment of associated premiums must represent an expenditure for the Company.

i. Derivative financial instruments – The Company states all derivatives at fair value in the balance sheet, regardless of the purpose for holding them. Fair value is determined using prices quoted on recognized markets. If such instruments are not traded, fair value is determined by applying recognized valuation techniques.

Changes in the fair value of derivative instruments designated as hedges are recognized as follows: (1) for fair value hedges, both the derivative instrument and the hedged item are stated at fair value and changes are recognized in current earnings; (2) for cash flow hedges, changes in the effective portion are temporarily recognized as a component of other comprehensive income and then reclassified to current earnings when affected by the hedged item; the ineffective portion is immediately recognized in current earnings; (3) for hedges of an investment in a foreign subsidiary, the effective portion is recognized as a component of other comprehensive income as part of the accumulated translation effect; the ineffective portion of the gain or loss on the hedging instrument is recognized in current earnings, if it is a derivative financial instrument. If not, it is recognized as a component of other comprehensive income until the investment is sold or transferred.

To manage its exposure to interest rate and foreign currency fluctuations, the Company principally uses interest rate swaps and foreign currency forward contracts, as well as futures to fix the purchase price of raw materials. The Company formally documents all hedging relationships at the beginning of the transaction, including their objectives and risk management strategies to carry out derivative transactions. Derivative trading is performed only with institutions of recognized solvency, and limits have been established for each institution.

The hedging derivative instruments are recorded as assets or liabilities without offsetting them against the hedged items.

j. Goodwill – Goodwill is recorded at acquisition cost in originating local currency and through December 31, 2007, was restated for the effects of inflation using the NCPI of the respective country. For subsidiaries operating in inflationary economic environments, goodwill continues to be restated using the applicable inflation rate. Goodwill is not amortized and, at least once a year, is subject to impairment tests.

k. Intangible assets – These are primarily comprised of trademarks, rights of use and customer relationships and are recorded at acquisition cost and were restated through December 31, 2007 using the inflation rate of each country. For subsidiaries operating in inflationary economic environments, goodwill continues to be restated using the applicable inflation rate. They are derived mainly from the acquisition of the business in the USA and certain trademarks in South America. Trademarks and rights of use are not amortized; however, the carrying values are subject to impairment tests at least annually. As of December 31, 2010, the Company recognized impairment loss on certain trademarks of $19. Customer relationships have an estimated useful life of 18 years and are amortized on a straight-line basis based on such useful life. For the years ended December 31, 2010 and 2009, the amortization recorded for intangible assets with finite lives was $258 and $257, respectively.

l. Provisions – Provisions are recognized when there is a present obligation as the result of a past event that is probable to result in the use of economic resources and that can be reliably estimated.

m. Direct employee benefits – Direct employee benefits are calculated based on the services rendered by employees, considering their current salaries. The liability is recognized as it accrues. These benefits include mainly accrued statutory employee profit sharing, compensated absences, such as vacation and vacation premiums, and incentives and are presented in other accounts payable and accrued liabilities.

n. Employee benefits from termination, retirement and other – The liability for seniority premiums, pensions and termination benefits is recorded as accrued and is calculated by independent actuaries based on the projected unit credit method using nominal interest rates.

Other employee benefits relate to medical expenses for eligible employees in the USA incurred after retirement. Such liability is determined using the Company's historical data according to actuarial calculations.

o. Statutory employee profit sharing – Statutory employee profit sharing ("PTU") is recorded in the results of the year in which it is incurred and presented in other expenses in the accompanying consolidated statements of income. Deferred PTU arising from Mexican subsidiaries is derived from temporary differences resulting from comparing the accounting and tax basis of assets and liabilities.

p. Income taxes – Income taxes ("ISR") of each country and the Business Flat Tax ("IETU") in Mexico, if higher than ISR, are recorded in the results of the year in which they are incurred. To recognize deferred income taxes, based on its financial projections, the Company determines whether it expects to incur ISR or IETU and accordingly recognizes deferred taxes based on the tax it expects to pay. Deferred taxes are calculated by applying the corresponding tax rate to the applicable temporary differences resulting from comparing the accounting and tax bases of assets and liabilities and including, if any, future benefits from tax loss carryforwards and certain tax credits. Deferred tax assets are recorded only when there is a high probability of recovery.

q. Tax on assets – The tax on assets ("IMPAC") generated in Mexico through 2007 that is expected to be recovered is recorded as a tax credit and is presented in the balance sheet under deferred taxes.

r. Foreign currency transactions – Foreign currency transactions are recorded at the applicable exchange rate in effect at the transaction date. Monetary assets and liabilities denominated in foreign currency are translated into Mexican pesos at the applicable exchange rate in effect at the balance sheet date. Exchange fluctuations are recorded as a component of results of the period, except for those transactions that have been designated as a hedge of a foreign investment.

s. Revenue recognition – Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which generally occurs when these products are delivered to the customer. The Company deducts certain discounts and promotional expenses from sales.

t. Earnings per share – Basic earnings per share are calculated by dividing net income attributable to the controlling interest by the weighted average number of shares outstanding during the year.

4. Accounts and notes receivable

	2010	2009
Customers and agencies	$ 7,249	$ 7,059
Allowance for doubtful accounts	(310)	(290)
	6,939	6,769
Notes receivable	601	513
Income, value–added and other recoverable taxes	4,021	3,434
Sundry debtors	338	393
Sanalp 2005, S. L., related party	1,092	1,178
Madera, L. L. C., related party	127	143
	$ 13,118	$ 12,430

5. Inventories

	2010	2009
Finished products	$ 1,095	$ 768
Orders in–process	94	75
Raw materials, containers and wrapping	1,735	1,725
Other	47	102
Allowance for slow–moving inventories	(1)	(3)
	2,970	2,667
Advances to suppliers	17	41
Raw materials in–transit	162	261
	$ 3,149	$ 2,969

6. Long–term notes receivable from independent operators

The Company has sold certain equipment and distribution rights in the USA to former employees and certain third parties (collectively, the "independent operators").

The Company finances 90% of the distribution rights sold to certain independent operators. The notes bear an annual interest rate ranging from 9.75% to 10.75% and are payable in 120 monthly installments.

7. Property, plant and equipment

	2010	2009
Buildings	$ 11,221	$ 12,893
Manufacturing equipment	29,488	28,915
Vehicles	8,430	8,070
Office furniture and fixtures	638	593
Computers	2,044	1,815
	51,821	52,286
Less– Accumulated depreciation	(25,298)	(23,411)
	26,523	28,875
Land	3,550	2,717
Construction in–progress and machinery in–transit	1,955	1,171
	$ 32,028	$ 32,763

8. Investment in shares of associated companies and other permanent investments

At December 31, 2010 and 2009, the investment in shares of associated companies and other permanent investments are as follows:

Associated companies	% of ownership	2010	2009
Beta San Miguel, S. A. de C. V.	8	$ 378	$ 327
Mundo Dulce, S. A. de C. V.	50	291	320
Fábricas de Galletas La Moderna, S. A. de C. V.	50	255	261
Grupo La Moderna, S. A. de C. V.	3	156	140
Congelación y Almacenaje del Centro, S. A. de C. V.	15	83	79
Fin Común, S. A. de C. V.	30	79	71
Productos Rich, S. A. de C. V.	18	78	72
Grupo Altex, S. A. de C. V.	11	70	70
Ovoplus, S. A. de C. V.	25	52	54
Innovación en Alimentos, S. A. de C. V.	50	28	25
Pierre, L. L. C.	30	14	15
Other	Various	69	45
		$ 1,553	$ 1,479

9. Intangible assets

The following is an analysis of the balance of intangible assets by geographical area:

	2010	2009
Mexico	$ 2,016	$ 1,039
United States of America	16,349	17,532
OLA	1,007	1,031
	$ 19,372	$ 19,602

At December 31, 2010 and 2009, the breakdown of intangible assets is as follows:

	Average life	2010	2009
Trademarks	Undefined	$ 15,779	$ 15,533
Rights of use	Undefined	36	38
		15,815	15,571
Customer relationships	18 years	3,794	4,009
Licensing agreements and software	8 and 2 years	247	261
Non-compete agreements	5 years	17	18
		4,058	4,288
Accumulated amortization		(501)	(257)
		3,557	4,031
		$ 19,372	$ 19,602

During 2010 and 2009, the changes in trademarks were as follows:

	2010	2009
Balance as of January 1	$ 15,533	$ 4,762
Acquisitions	1,001	10,668
Impairments	(19)	–
Disposals	–	(6)
Adjustments due to variations in exchange rates	(736)	109
Balance as of December 31	$ 15,779	$ 15,533

10. Goodwill

The following is an analysis of the balance of goodwill by geographical area:

	2010	2009
Mexico	$ 1,258	$ 753
United States of America	16,919	17,871
OLA	1,707	1,770
	$ 19,884	$ 20,394

During 2010 and 2009, the changes in goodwill were as follows:

	2010	2009
Balance as of January 1	$ 20,394	$ 6,488
Acquisitions	517	13,775
Adjustments due to variations in exchange rates	(1,027)	131
Balance as of December 31	$ 19,884	$ 20,394

11. Long–term debt

	2010	2009
Committed Revolving (Multi–currency) Line–of–Credit – On July 20, 2005, the Company entered into an agreement to amend its committed revolving line-of-credit dated May 21, 2004, increasing the line-of-credit up to the amount of US$600 million. The term of the debt was for five years with a maturity date July 2010; the balance due was paid in full as of December 31, 2010.	$ –	$ 3,918
Local bonds – In addition to the local bonds issued in 2002, during 2009 the Company issued local bonds to refinance short–term liabilities contracted early in 2009 to acquire BFI. As of December 31, 2010, such bonds are as follows:		
Bimbo 09 – Issued June 15, 2009, maturing in June 2014, with interest at the 28-day Mexican Interbank Equilibrium Offered rate ("TIIE") plus 1.55%.	5,000	5,000
Bimbo 09–2 – Issued June 15, 2009, maturing in June 2016, with a fixed interest rate of 10.60%.	2,000	2,000
Bimbo 09U – Issued June 15, 2009 in the amount of 706,302,200 Investment Units ("UDIs"), maturing in June 2016, with a fixed interest rate of 6.05%. The UDI value at December 31, 2010 and 2009 was $4.5263 and $4.3401 Mexican pesos per UDI, respectively.	3,197	3,066
Bimbo 02–2– Issued in May 17, 2002, maturing in May 2012, with a fixed interest rate of 10.15%.	750	750
International bond – On June 30, 2010, the Company issued a bond under U.S. Securities and Exchange Commission Rule 144 Regulation S for US$800 million maturing on June 30, 2020. Such bond pays a fixed interest rate of 4.875% with semiannual payments. The proceeds from this issuance were used to the refinance Company debt, extending the average term of such debt.	9,886	–

	2010	2009
Bank loan – On January 15, 2009, the Company entered into a long-term bank loan in the amount of the equivalent of US$1,700 million, in which BBVA Bancomer, S. A. Institución de Banca Múltiple, Grupo Financiero BBVA Bancomer as lead agent, and a syndicate bank comprised of 8 institutions participate. The loan consists of two tranches, the first maturing in January 2012 (Tranche A) and the second with semiannual maturities from July 2012 to January 2014 (Tranche B). During the month of July 2010, the Company used the proceeds from the issuance of the International Bond, to settle Tranche A in full. The Company pays interest at the TIIE rate plus 1.00% for the portion denominated in Mexican pesos and the London Interbank Offered rate ("LIBOR") plus 1.25% for the portion denominated in U.S. dollars. Up to 68% of the unpaid balance is denominated in Mexican pesos for the amount of $7,300 and 32% of the unpaid balance is denominated in U.S. dollars for the amount of $3,436. All proceeds obtained from this financing, plus those obtained from the multicurrency bridge loan, were used by Grupo Bimbo to partially pay for the acquisition of BFI.	10,736	21,250
Other – Certain subsidiaries have entered into other direct loans maturing from 2011 to 2012, at various interest rates.	1,641	756
	33,210	36,740
Less – Current portion of long–term debt	(1,624)	(4,656)
Long–term debt	$ 31,586	$ 32,084

At December 31, 2010, long–term debt matures as follows:

Year	Amount
2012	$ 3,451
2013	5,368
2014	7,684
2016	5,197
2020	9,886
	$ 31,586

The local bonds, international bond and the committed revolving line-of-credit are guaranteed by the principal subsidiaries of Grupo Bimbo. The loan agreements establish certain covenants and also require that the Company maintain determined financial ratios based on consolidated financial statements. At December 31, 2010 and 2009, the Company has complied with all the obligations established in the loan agreements.

12. Derivative financial instruments

As of December 31, derivative financial instruments were comprised as follows:

	2010	2009
Assets:		
Forwards	$ 6	$ 2
Future contracts		
Fair value of wheat and soybean oil	131	6
Fair value of natural gas and diesel	8	58
Forwards and options	–	11
Total value of financial instruments	145	77
Warranty account	35	69
Total current portion	$ 180	$ 146
Long-term swaps	$ 393	$ 159
Liabilities:		
Swaps	$ –	$ (37)
Future contracts		
Fair value of wheat and natural gas	–	(37)
Total current portion	$ –	$ (74)
Swaps	$ (230)	$ (54)
Forwards	(1)	–
Total long-term portion	$ (231)	$ (54)

	2010	2009
Stockholders' Equity:		
Total value of cash flow hedges	$ (11)	$ 108
Closed contracts for unused futures	(8)	(149)
	(19)	(41)
Deferred income taxes, net	–	7
Cumulative other comprehensive income	$ (19)	$ (34)

Swaps – The Company entered into swaps to modify its debt profile in Mexico. The derivatives were designated as cash flow hedges and since their inception were assumed to have no ineffectiveness.

As of December 31, 2010, the operating characteristics and the fair value of the hedging instruments were as follows:

Amounts as of December 31, 2010

Date of Commencement	Maturity	Notional amount	Interest rate Paid	Interest rate Collected	Fair Value
Swaps that convert debt from Mexican pesos to U.S. dollars and modifies the interest rate of the Bimbo 02-2 and Bimbo 09-2 local bonds:					
September 15, 2010	May 3, 2012	58.6 (*)	5.70% (U.S. dollars)	10.15% (Mexican pesos)	38
September 13, 2010	June 6, 2016	155.5 (*)	6.35% (U.S. dollars)	10.60% (Mexican pesos)	105
Swaps that modify the Bimbo 09U local bond currency and interest rate:					
June 10, 2009	June 6, 2016	$ 1,000	10.54% (Mexican pesos)	6.05% (UDI)	85
June 24, 2009	June 6, 2016	$ 2,000	10.60% (Mexican pesos)	6.05% (UDI)	165
Total long-term assets					$ 393
Swaps that fix the Bimbo 09 local bond rate:					
June 26, 2009	June 9, 2014	$ 2,000	7.43%	4.87% (TIIE)	(87)
Swaps that fix the rate of the long-term bank loan in U.S. dollars:					
May 27, 2009	January 15, 2014	150 (*)	2.33% (LIBOR)	0.26% (LIBOR)	(59)
May 29, 2009	January 13, 2012	25 (*)	1.66% (LIBOR)	0.26% (LIBOR)	(3)
May 29, 2009	January 13, 2012	100 (*)	1.63% (LIBOR)	0.26% (LIBOR)	(12)
Swaps that fix the rate of the long-term bank loan in Mexican pesos:					
June 5, 2009	January 13, 2012	$ 1,500	6.51% (TIIE)	4.87% (TIIE)	(23)
June 5, 2009	January 15, 2014	$ 1,500	7.01% (TIIE)	4.87% (TIIE)	(46)
Total long-term liabilities					$ (230)

(*) Amounts in millions of U.S. dollars

In connection with the issuance of the Bimbo 02-2 and the Bimbo 09-2 local bonds, in September 2010 the Company entered into a foreign currency swap and an interest rate swap for $750 and $2,000, respectively, which convert the debt from Mexican pesos to U.S. dollars and modify the related interest rates. The applicable exchange rates were 12.79 and 12.88, and the interest rates to be paid are 5.70% and 6.35%, respectively.

In connection with the issuance of the Bimbo 09U local bonds, between June 10 and 24, 2009, the Company entered into two foreign currency swaps for $1,000 and $2,000 that together cover the entire Bimbo 09U issue and convert the debt from UDIs to Mexican pesos at fixed rates of 10.54% and 10.60%, respectively.

To cover the interest rate risk on the issuance of the Bimbo 09 local bonds, on June 26, 2009 the Company entered into an interest rate swap for $2,000 that converts the variable rate to a fixed rate of 7.43% effective July 13, 2009.

To cover the interest rate risk on the dollar portion of Tranche A of the Bank Loan, between May 27 and 29, 2009, the Company entered into three swaps that totaled US$300 million and fix the one-month LIBOR to an average rate of 1.64%. On August 25, 2010 the Company prepaid US$175 million of Tranche A of the Bank Loan, so the remaining balance of the hedging instrument of US$125 million was assigned as hedge of the Tranche B Bank Loan. Additionally, to cover the interest rate risk on the U.S. dollar portion of Tranche B of the Bank Loan, on May 27, 2009, the Company entered into a swap for US$150 million that fixes the one-month LIBOR rate at 2.33%.

To cover the interest rate risk on the Mexican peso portion of Tranche A of the Bank Loan, on June 5, 2009, the Company entered into a swap for $1,500 that fixes the 28-day TIIE rate at 6.51%. Since the Company prepaid the portion of Tranche A on August 25, 2010, the related hedge was transferred to the Tranche B Bank Loan. Additionally, to cover the interest rate risk on the Mexican peso portion of Tranche B of the Bank Loan, on June 5, 2009, the Company entered into a swap for $1,500 that fixes the 28-day TIIE rate at 7.01%.

As of December 31, 2009, the operating characteristics and the fair value of the above hedging instruments were as follows:

Amounts as of December 31, 2009

Date of Commencement	Maturity	Notional amount	Interest rate Paid	Interest rate Collected	Fair value
Swaps that fix the revolving credit line rate in U.S. dollars:					
July 23, 2008	July 23, 2010	125 (*)	3.82%	0.95%	$ (37)
Swaps that modify local bond currency and interest rates:					
June 26, 2009	June 9, 2014	$ 2,000	7.43%	4.90%	(8)
June 10, 2009	June 6, 2016	$ 1,000	10.54%	6.05%	55
June 24, 2009	June 6, 2016	$ 2,000	10.60%	6.05%	104
Swaps that fix the rate of the long-term bank loan in U.S. dollars:					
May 27, 2009	January 13, 2012	100 (*)	1.63%	0.23%	(6)
May 29, 2009	January 13, 2012	100 (*)	1.66%	0.23%	(7)
May 29, 2009	January 13, 2012	100 (*)	1.63%	0.23%	(6)
May 27, 2008	January 15, 2014	150 (*)	2.33%	0.23%	(10)
Swaps that fix the rate of the long-term bank loan in Mexican pesos:					
June 5, 2009	January 13, 2012	$ 1,500	6.51%	4.87%	(8)
June 5, 2009	January 15, 2014	$ 1,500	7.01%	4.87%	(9)
Net fair value					$ 68
Total long-term assets					$ 159
Total current liabilities					$ (37)
Total long-term liabilities					$ (54)

(*) Amounts in millions of U.S. dollars

Cross currency "Forwards" – As of December 31, 2010 and 2009, the Company had contracted forwards to hedge the cash flows of operating and financial liabilities denominated in foreign currency. These instruments cover a notional amount of 24.0 and 25.3 million Euros as of December 31, 2010 and 2009, respectively, which fix the exchange rate for the purchase of foreign currency at an average of $16.3261 and $18.6680 Mexican pesos per Euro, respectively. Their fair value is $6 and $2 at December 31, 2010 and 2009, respectively.

Hedges of wheat, natural gas prices and other commodities – The Company enters into wheat, natural gas and other commodities futures contracts to minimize the risk of variation in international prices of both consumables. Wheat, which is the primary component of flour and is the main input used by the Company, together with natural gas are used in the manufacture of its products. The transactions are carried out in recognized commodity markets, and through their formal documentation are designated as cash flow hedges of forecasted transactions.

The other comprehensive income at December 31, 2010 and 2009 includes closed contracts that have not been transferred to cost of sales due to the fact that the wheat under these contracts has not been used for flour consumption.

As of December 31, 2010 and 2009, the characteristics of these hedging instruments and their fair value at the contract date were as follows:

Amounts as of December 31, 2010

Date of commencement	Position	Contracts Number	Maturity	Region	Fair value
Futures contracts to fix the purchase price of wheat and soybean oil:					
November 2010	Long	1,132	March 2011	Mexico	$ 48
November 2010	Long	1,160	March 2011	USA	75
November 2010	Long	14	March 2011	OLA	1
Various (soybean oil)	Long	138	March and May 2010	USA	7
Total current assets					$ 131
Futures contracts to fix the purchase price of natural gas:					
August through December 2010	Long	524	Between June 2011 and December 2012	Mexico	$ 8
August through October 2010	Long	315	Between March and December 2011	USA	–
Total current assets					$ 8

Amounts as of December 31, 2009

Date of commencement	Position	Contratcts Number	Maturity	Region	Fair value
Futures contracts to fix the purchase price of wheat and soybean oil:					
August through November 2009	Long	814	Between March and May 2010	Mexico	$ (11)
June through September 2009	Long	1,196	March 2010	USA	(24)
July through November 2009	Long	170	March to July 2010	OLA	(1)
Various (Soybean oil)	Long	135	Various	USA	6
Net fair value					$ (30)
Total current assets					$ 6
Total current liabilities					$ (36)
Futures contracts to fix the purchase price of natural gas and diesel:					
Various (Natural gas)	Long	170	Various	Mexico	$ 8
Various (Diesel)	Long	128	Various	USA	50
Various (Natural gas)	Long	193	Various	USA	(1)
Net fair value					$ 57
Total current assets					$ 58
Total current liabilities					$ (1)

Hedges of currency "Forwards" for purchase of wheat – During 2010 and 2009, the Company entered into exchange rate call options, which were designated as hedges of possible exchange rate fluctuations of the U.S. dollar, the foreign currency in which the majority of purchases of wheat flour are made. The covered purchases in 2010 are from January and April of 2011 and in 2009 were from January to March of 2010.

Amounts as of December 31, 2010

Date of Commencement	Maturity	Amounts in U.S. dollars	Contracted exchange rate	Amount	Fair value
October through November 2010	Between January and April 2011	60,000,000	Between 12.3217 and 12.6117 (Mexican pesos)	$ 745	$ (1)

Amounts as of December 31, 2009

Date of Commencement	Maturity	Amounts in U.S. dollars	Contracted exchange rate	Amount	Fair value
August through December 2009	Between January and March 2010	50,000,000	Between 12.8295 and 13.2695 (Mexican pesos)	$ 647	$ 11

Embedded derivative instruments – At December 31, 2010 and 2009, the Company does not have any contracts with embedded derivatives.

13. Long–term employee benefits

Long–term net projected liabilities of employee and welfare benefits plan, by geographical area, are as follows:

	2010	2009
Net projected liability in Mexico:		
Retirement	$ 1,008	$ 745
Termination	113	56
	$ 1,121	$ 801
Net projected liability in USA and OLA:		
Retirement	$ 2,216	$ 2,584
Termination	200	220
Workers' compensation in USA	1,084	1,039
	$ 3,500	$ 3,843

a. Mexico

The Company has a defined benefit pension and seniority premium plan; it is also subject to termination benefit obligations. The funding policy of the Company is to make discretionary contributions. During 2010 the Company did not make contributions, and during 2009 the Company made contributions of $200.

Seniority premiums consist of a one-time payment of 12 days for each year worked based on the final salary, not exceeding double the minimum wage established by law for all its personnel, as stipulated in the respective employment contracts. Such benefits vest for employees with 15 or more years of service.

Employment termination benefits primarily include the estimate for settlement payments equivalent to three months of salary per year of service worked, which are paid to all workers that are involuntarily terminated.

The related liability and annual benefits costs are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The following table presents the amounts recognized for the pension, seniority and termination premium plans, as well as the status of the fund shown in the balance sheet at December 31, 2010 and 2009:

	2010	2009
Vested benefit obligation	$ 579	$ 514
Defined benefit obligation	6,154	5,504
Less- Plan assets (funds in trust)	4,561	4,360
Underfunded status	1,593	1,144
Items to be amortized:		
Actuarial gain	(550)	(451)
Transition liability	13	19
Past service costs and changes to the plan	65	89
Total items to be amortized	(472)	(343)
Net projected liability	$ 1,121	$ 801

Net period costs are as follows:

	2010	2009
Cost of services for the year	$ 346	$ 329
Amortization of transition asset	(6)	(6)
Amortization of past services and changes to the plan	(21)	(12)
Actuarial gain	(54)	(87)
Cost of financing for the year	443	408
Less – yield on fund assets	(373)	(321)
Net cost of the period	$ 335	$ 311

The nominal rates used in the actuarial calculations are:

	2010	2009
Discount of projected benefit obligation at present value	7.64%	8.16%
Wage increases	4.54%	5.05%
Yield on plan assets	8.67%	8.67%

The unamortized amounts of retirement obligations for the transition asset are applied to results over a period of five years and for past services and actuarial (gains) and losses are applied to results over the remaining labor life of employees expected to receive plan benefits.

Changes in present value of the defined benefit obligation:

	2010	2009
Present value of the defined benefit obligation as of January 1	$ 5,504	$ 5,069
Service cost	346	329
Interest cost	443	408
Actuarial loss (gain) on the obligation	52	(111)
Benefits paid	(191)	(191)
Present value of the defined benefit obligation as of December 31	$ 6,154	$ 5,504

Changes in fair value of plan assets:

	2010	2009
Plan assets at fair value as of January 1	$ 4,360	$ 3,753
Expected yield	373	321
Actuarial gain	4	240
Company contributions	–	200
Benefits paid	(176)	(154)
Plan assets at fair value as of December 31	$ 4,561	$ 4,360

Categories of plan assets:

	Expected yield	Actual yield
Equity instruments	9.6%	17.6%
Debt instruments	6.1%	8.0%

Amounts of the current and previous four years:

	2010	2009	2008	2007	2006
Defined benefit obligation	6,154	5,504	5,069	4,810	4,495
Less– Fair value of plan assets	4,561	4,360	3,753	4,256	4,192
Underfunded status	1,593	1,144	1,316	554	303
Actuarial (gain) loss for estimation of defined benefit obligation	52	(111)	(248)	(27)	120
Actuarial gain (loss) for estimation of fund	4	240	(723)	(72)	147

b. USA – The Company has established a defined benefit pension plan that covers eligible employees. Effective January 1, 2009, the benefits of the plan were frozen. The Company's funding policy is to make discretionary contributions. During 2010 and 2009, the Company made contributions to such plan of $471 in both years.

The following table sets forth the amounts recognized for the pension plan and the status of the fund in the consolidated balance sheets, as well as the liability for workers' compensation, as of December 31, 2010 and 2009:

	2010	2009
Vested benefit obligation	$ 3,052	$ 3,043
Defined benefit obligation	$ 7,546	$ 7,528
Less– Plan assets	4,286	4,183
Unfunded status	3,260	3,345
Items to be amortized:		
Actuarial gain	(1,058)	(770)
Past service costs and plan modifications	14	9
Total items to be amortized	(1,044)	(761)
Net projected liability	$ 2,216	$ 2,584

Net pension cost includes the following components:

	2010	2009
Cost of services for the year	$ 132	$ 139
Financing cost of the year	392	403
Less– Return on plan assets	(287)	(259)
Amortization of past services and plan modifications	16	45
Effect on anticipated severance obligations	–	(84)
Net cost of the period	$ 253	$ 244

The nominal interest rates used in the actuarial calculations are:

	2010	2009
Weighted average discount rates	5.85%	5.75%
Rates of increase in compensation levels	3.75%	3.75%
Expected long–term rate of return on plan assets	7.50%	7.50%

Changes in present value of the defined benefit obligation:

	2010	2009
Present value of the defined benefit obligation as of January 1	$ 7,528	$ 2,248
Cost of services for the year	132	139
Financing cost	392	403
Actuarial loss (gain) on the obligation	346	(46)
Past services for plan modifications	(5)	(3)
Business acquisition	–	5,184
Changes in exchange rates	(405)	–
Benefits paid	(442)	(397)
Present value of the defined benefit obligation as of December 31	$ 7,546	$ 7,528

Changes in fair value of plan assets:

	2010	2009
Plan assets at fair value as of January 1	$ 4,183	$ 1,154
Expected yield	287	259
Actuarial gain	1	490
Company contributions	471	471
Business acquisition	–	2,206
Changes in exchange rates	(214)	–
Benefits paid	(442)	(397)
Plan assets at fair value as of December 31	$ 4,286	$ 4,183

Categories of plan assets:

	Expected yield	Actual yield
Equity instruments	8.4%	13.6%
Debt instruments	5.0%	9.2%

Amounts of the current and previous four years:

	2010	2009	2008	2007	2006
Defined benefit obligations	7,546	7,528	2,248	1,631	1,640
Less– Fair value of plan assets	4,286	4,183	1,154	1,254	1,191
Underfunded status	3,260	3,345	1,094	377	449
Actuarial (gain) loss for estimation of defined benefit obligation	346	(46)	570	–	(64)
Actuarial gain (loss) for estimation of fund	1	490	(189)	10	(33)

Postretirement welfare benefit plans USA

The Company maintains a postretirement welfare benefit plan that covers certain eligible employees' postretirement medical expenses. As of December 31, 2010 and 2009, these liabilities were $1,402 and $1,293 respectively, of which the following amounts are classified as long term:

	2010	2009
Welfare benefit plans	$ 1,084	$ 1,039

c. *OLA* – The Company has liabilities for termination benefits in accordance with the local legislation of each country. The related liability and annual cost of the benefits is calculated by an independent actuary using the projected unit credit method. As of December 31, 2010 and 2009, the recorded liabilities are $200 and $220, respectively. Other disclosures required by MFRS were considered not significant in this geographical segment.

14. Stockholders' equity

a. At December 31, 2010, stockholders' equity consists of the following:

	Number of shares	Par value	Restatement / translation effect	Total
Fixed capital– Series "A"	1,175,800,000	$ 1,902	$ 6,104	$ 8,006
Reserve for repurchase of shares		600	159	759
Retained earnings		27,630	7,875	35,505
Accumulated translation effect		–	(541)	(541)
Financial instruments		(19)	–	(19)
Noncontrolling interest in consolidated subsidiaries		693	134	827
Total		$ 30,806	$ 13,731	$ 44,537

Capital stock is fully subscribed and paid-in and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be represented by Series "B", ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. Dividends declared in 2010 and 2009 were:

Approved at the stockholders' meeting of:	Mexican pesos per share	Value at December 31, 2010
April 15, 2010	$ 0.50	$ 588
April 9, 2009	$ 0.46	$ 541

During 2010 and 2009, the dividends paid to non-controlling shareholders were $126 and $78, respectively.

c. Retained earnings include the statutory legal reserve. Mexican General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical Mexican pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. At December 31, 2010 and 2009, the legal reserve, in historical Mexican pesos, was $500.

d. Stockholders' equity, except restated paid–in capital and tax retained earnings, will be subject to income taxes payable by the Company at the rate in effect upon distribution. Any tax paid on such distribution may be credited against annual and estimated income taxes of the year in which the tax on dividends is paid and the following two fiscal years.

e. In a stockholders' meeting held on August 19, 2010, the merger of the nearly wholly-owned subsidiary Tecebim, S. A. de C. V. with the Company was approved. As a result of the merger, the tax paid-in capital account increased substantially. Also, as a result of the tax deconsolidation effective in January 2010, the net after tax income account decreased substantially. Both effects are shown in paragraph f) below.

f. The balances in the stockholders' equity tax accounts at December 31 are:

	2010	2009
Paid–in capital	$ 24,473	$ 8,132
Net after–tax income	18,253	32,830
Total	$ 42,726	$ 40,962

15. Foreign currency balances and transactions

a. At December 31, 2010 and 2009, the foreign currency monetary position in millions of U.S. dollars, for the Mexican entities only, is as follows:

	2010	2009
Current assets	77	67
Liabilities–		
Short–term	(53)	(342)
Long–term	(1,076)	(745)
Total liabilities	(1,129)	(1,087)
Liability position, net	(1,052)	(1,020)
Mexican pesos equivalent	$ (13,000)	$ (13,320)

b. The Company has significant operations in the USA and OLA as indicated in Note 21.

c. The transactions in millions of U.S. dollars, for the Mexican entities only, after elimination of the transactions between consolidated subsidiaries, were as follows:

	2010	2009
Export sales	6	12
Import purchases of raw materials	87	46
Purchases of fixed assets from foreign countries	21	27

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these consolidated financial statements were as follows:

	December 31, 2010	December 31, 2009	March 14, 2011
Mexican pesos per one U.S. dollar	12.3571	13.0587	11.9441

16. Transactions and balances with related parties

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

	2010	2009
Interest income	$ 77	$ 76
Expenses on purchases of:		
Raw materials	$ 4,705	$ 4,403
Finished products	$ 1,099	$ 575
Supplies, uniforms and other	$ 467	$ 312

b. The net balances due to related parties are:

	2010	2009
Beta San Miguel, S. A. de C. V.	$ 295	$ 89
Efform, S. A. de C. V.	27	18
Fábrica de Galletas La Moderna, S. A. de C. V.	21	4
Frexport, S. A. de C. V.	80	14
Grupo Altex, S. A. de C. V.	159	29
Industrial Molinera Montserrat, S. A. de C. V.	20	14
Makymat, S. A. de C. V.	6	5
Mundo Dulce, S.A. de C.V.	64	5
Ovoplus del Centro, S. A. de C. V.	48	13
Pan–Glo de México, S. de R. L. de C. V.	4	1
Paniplus, S. A. de C. V.	24	21
Proarce, S. A. de C. V.	35	22
Uniformes y Equipo Industrial, S. A. de C. V.	19	3
	$ 802	$ 238

c. Employee benefits granted to Company key management were as follows:

	2010	2009
Short and long–term direct benefits	$ 305	$ 290
Cash payments for purchase of shares	45	71
Severance benefits	408	368

17. Tax environment

Income taxes in Mexico

The Company is subject to ISR and IETU.

ISR – The ISR rate is 30% for 2010 through 2012 and was 28% in 2009; it will be 29% for 2013 and 28% for 2014. The entity is subject to ISR on an individual basis. Until 2009, the Company paid ISR, together with subsidiaries on a consolidated basis.

IETU – Revenues, as well as deductions and certain tax credits, are determined based on cash flows of each fiscal year. Beginning in 2010, the IETU rate is 17.5%, and it was 17% in 2009. The IMPAC Law was repealed upon enactment of the IETU Law; however, under certain circumstances, IMPAC paid in the ten years prior to the year in which ISR is paid may be recovered, according to the terms of the law.

Income tax expense is the larger of ISR and IETU.

Based on its financial projections, the Company determined that some of its Mexican subsidiaries will pay ISR in certain fiscal years, while in others they will pay IETU. Accordingly, the Company calculated both deferred ISR and deferred IETU and recognized the larger of the two liabilities in each subsidiary. In its other subsidiaries, based on its financial projections the Company determined that they will basically pay only ISR. Therefore, the enactment of IETU did not have any effects on the financial information for those subsidiaries, since they continue to recognize deferred ISR.

Due to changes in the tax law with respect to tax consolidation, the Company elected to deconsolidate for tax purposes beginning in 2010, recognizing the effects on the financial information of 2009 of such deconsolidation, applying some of the effects against retained earnings in accordance with the rules of Interpretations to Financial Information Standards ("INIF") 18, *Recognition of the Effects of the 2010 Tax Reform on Income Taxes*. The effect of tax deconsolidation in the results of 2009 is minimal considering the effects on deferred taxes that result from the tax deconsolidation.

Income taxes in other countries

The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the USA have authorization to file a consolidated income tax return.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory income tax rate (%) 2010	2009	Period of expiration
Argentina	35.0	35.0	(a) 5
Austria	25.0	25.0	(b)
Brazil	34.0	34.0	(c)
Colombia	33.0	33.0	(d)
Costa Rica	30.0	30.0	3
Chile	(e) 17.0	17.0	(f)
China	25.0	25.0	5
El Salvador	25.0	25.0	(g)
Spain	30.0	30.0	15
USA	(h) 35.0	(h) 35.0	20
Guatemala	(i) 31.0	(i) 31.0	(g)
Netherlands	25.5	25.5	9
Honduras	(j) 25.0	(j) 25.0	3
Hungary	19.0	16.0	(f)
Luxembourg	21.0	21.0	(f)
Nicaragua	30.0	30.0	3
Panama	27.5	30.0	5
Paraguay	10.0	10.0	(g)
Peru	30.0	30.0	(k)
Czech Republic	19.0	20.0	(l)
Uruguay	25.0	25.0	(m)
Venezuela	34.0	34.0	(n)

(a) Tax losses from sale of shares or other equity investments may only be offset against income of the same nature. The same applies for the losses on derivatives. Foreign source tax losses may only be amortized with income from foreign sources.

(b) Losses generated after 1990 may be applied indefinitely but may only be offset each year up to an amount equal to 75% of the net taxable profit for the year.

(c) Tax losses may be applied indefinitely, but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for the year.

(d) Tax losses generated in 2003, 2004, 2005 and 2006 may be amortized within the following eight years, but may only be up to 25% of the income tax of each year. Beginning 2007, tax losses may be amortized without limitation on the value or period.

(e) Income tax rate will be 20% in 2011 and 18.5% in 2012 and in 2013, will return to 17%.

(f) No expiration date.

(g) Operating losses are not amortizable.

(h) A state tax should be added to this percentage, which varies in each state of USA. The weighted average combined statutory rate for 2010 and 2009 was 39.6% and 38.3%, respectively.

(i) The general tax rate is 5% but the tax base is calculated as follows: Total gross revenues less non- taxable revenues. The optional tax rate is 31% but the tax basis is different: Net income plus nondeductible expenses, less non-taxable revenues and other deductions.

(j) In the case of a taxable income greater than 1 million Lempiras, an additional 10% must be paid as temporary solidarity tax.

(k) There are two alternatives allowed for tax loss amortization: 1) four years or 2) unlimited amortization up to 50% of the net taxable profit of each year. Once made, an election may not be changed, until the accumulated losses of previous years are applied.

(l) Tax losses generated since 2004 may be amortized in the following five years. Tax losses prior to 2004 in the following seven years.

(m) Tax losses generated after 2007 may be amortized in the following five years.

(n) Based on their nature the amortization period can change: 1) Operating losses over the following three years, 2) Losses from the adjustment for inflation tax, one year; 3) Overseas, which can only be amortized against earnings from abroad, over the following three years and 4) Losses from jurisdictions with preferential tax regulations only applied to profits in such jurisdictions, over the following three years.

Operations in Argentina, Colombia, Guatemala and Nicaragua are subject to minimum payments of income tax or tax based on assets.

Operations in Brazil and Venezuela are subject to profit sharing payments according to certain rules based on accounting income. During 2010 and 2009, there were no profit sharing payments in those countries.

Detail of provisions, effective rate and deferred effects

a. Consolidated taxes on income are as follows:

	2010	2009
ISR:		
Current	$ 2,308	$ 3,964
Deferred	27	(1,203)
	$ 2,335	$ 2,761
IETU:		
Current	$ 1	$ 77
Deferred	27	(11)
	28	66
	$ 2,363	$ 2,827

b. The reconciliation of the statutory and effective ISR rates expressed as a percentage of income before taxes on income for the years ended December 31, 2010 and 2009 is:

	% 2010	% 2009
Statutory rate in Mexico	30.0	28.0
Inflationary effects in the monetary balance sheet accounts for Mexican subsidiaries	6.3	5.3
Nondeductible expenses, nontaxable revenues and other	0.1	1.6
Difference in tax rates and currency of subsidiaries in different tax jurisdictions	2.2	5.5
Inflationary tax effect of fixed assets	(1.2)	(1.9)
IETU	0.3	0.7
Reversal of allowance of deferred taxes	(7.8)	(7.4)
Effects of increase in Mexican income tax rate in deferred taxes	–	(0.1)
Effective rate	29.9	31.7

The main items originating a deferred ISR asset are:

	2010	2009
Advances from customers	$ (3)	$ (8)
Allowance for doubtful accounts	(109)	(89)
Inventories	9	52
Property, plant and equipment	2,358	2,894
Intangible assets	3,812	3,803
Other reserves	(3,254)	(3,342)
Current and deferred PTU	(287)	(278)
Tax loss carryforwards	(3,502)	(4,602)
Valuation allowance of tax loss carryforwards	173	788
Changes in exchange rate	(260)	262
Other items	(59)	(39)
Deferred IETU	205	190
Total asset, net	$ (917)	$ (369)

The net deferred income tax asset and liability has not been offset in the accompanying consolidated balance sheet as they result from different taxable entities and tax authorities. Gross amounts are as follows:

	2010	2009
Deferred income tax asset	$ (1,539)	$ (635)
Deferred income tax liability	622	266
Total asset, net	$ (917)	$ (369)

c. Certain tax losses will not be recoverable before their expiration date. Consequently, the Company has recognized a valuation allowance for a portion of such losses.

d. Tax loss carryforwards for which the deferred ISR asset has been recorded may be recovered subject to certain conditions. Tax losses generated in countries and expiration dates are:

Years	Amount
2011	$ 4,958
2012	28
2013	125
2014	96
2015	28
2016 and thereafter	5,100
	10,335
Tax losses included in the valuation allowance	(576)
Total	$ 9,759

18. Other expenses, net

a. Ther expenses are comprised as follows:

	2010	2009
PTU	$ 653	$ 563
Prior year labor cost	–	150
Tax incentives	(47)	(46)
Loss on sale of fixed assets	175	183
Other	169	326
	$ 950	$ 1,176

b. PTU is comprised as follows:

	2010	2009
Current	$ 694	$ 624
Deferred	(41)	(61)
	$ 653	$ 563

19. Commitments

Guarantees and/or guarantors

a. At December 31, 2010, Grupo Bimbo, S. A. B. de C. V. and certain subsidiary companies have guaranteed bonded issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. The value of such letters of credit totals US$98.2 million, of which a liability of US$113 million has already been recorded for employment benefits in the USA.

b. The Company has guaranteed certain contingent obligations of associated companies for the amount of US$1.2 million at December 31, 2010. Similarly, the Company has issued guarantees for third-party obligations derived from the sale of assets in prior years, for the amount of US$14 million.

Lease commitments

a. The Company has long-term commitments under operating leases, principally for the facilities used to produce, distribute and sell its products. These commitments vary from three to 14 years, with a renewal option of between one and five years. Certain leases require the Company to pay all related expenses, such as taxes, maintenance and insurance for the term of the contracts. Rental expense was $1,209 in 2010 and $1,500 in 2009. The total amount of lease commitments is as follows:

Year	Amount
2011	1,333
2012	962
2013	747
2014	599
2015	495
2016 and thereafter	947
Total	$ 5,083

Type	Amount
Civil	$ 171
Criminal	22
Labor	100
Tax	426
Total	$ 719

20. Contingencies

Several significant contingencies exist, of varying nature, that have arisen in the normal course of business of the Company, for which management has evaluated the likelihood of loss as remote, probable or possible. Based on such evaluation, for those contingencies for which the Company believes it is probable it will be required to use future resources to settle its obligations, the Company has accrued the following amounts within long-term liabilities:

Those contingencies for which management does not expect a material adverse effect are not accrued until other information becomes available to support the recognition of a liability.

21. Information by geographical area

The following is the principal data by geographical area in which the Company operates for the years ended December 31, 2010 and 2009:

	2010				
	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 57,870	$ 47,875	$ 14,207	$ (2,789)	$ 117,163
Income after general expenses	$ 8,013	$ 3,738	$ (340)	$ (18)	$ 11,393
Net income of controlling stockholders	$ 3,518	$ 2,576	$ (531)	$ (168)	$ 5,395
Depreciation, amortization and other	$ 1,615	$ 1,458	$ 1,002	$ –	$ 4,075
Income after general expenses, plus depreciation, amortization and other ("EBITDA")	$ 9,628	$ 5,196	$ 662	$ (18)	$ 15,468
Total assets	$ 36,121	$ 49,380	$ 16,045	$ (2,477)	$ 99,069
Total liabilities	$ 44,080	$ 8,295	$ 5,679	$ (3,522)	$ 54,532

	2009				
	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 55,388	$ 49,850	$ 13,606	$ (2,491)	$ 116,353
Income after general expenses	$ 7,499	$ 4,261	$ 301	$ (7)	$ 12,054
Net income of controlling stockholders	$ 2,184	$ 3,889	$ (59)	$ (58)	$ 5,956
Depreciation and amortization	$ 1,667	$ 1,466	$ 650	$ –	$ 3,783
Income after general expenses, plus depreciation and amortization ("EBITDA")	$ 9,166	$ 5,727	$ 951	$ (7)	$ 15,837
Total assets	$ 36,709	$ 53,361	$ 13,563	$ (3,967)	$ 99,666
Total liabilities	$ 50,515	$ 10,069	$ 3,259	$ (5,134)	$ 58,709

22. New accounting principles

As part of its efforts to converge Mexican standards with international standards, in 2009 and 2010 the Mexican Board for Research and Development of Financial Information Standards ("CINIF") issued the following NIFs, INIFs and improvements to NIFs, which become effective as follows:

a. For fiscal years beginning January 1, 2011:

B–5, Financial Segment Information
B–9, Interim Financial Information
C–4, Inventories
C–5, Advance Payments and other Assets
C–6, Property, Plant and Equipment (certain paragraphs become effective beginning in 2012)
C–18, Obligations Associated with the Retirement of Property, Plant and Equipment
Improvements to Mexican Financial Reporting Standards 2011

Some of the most important changes established by these standards are:

NIF B–5, *Financial Segment Information* – This standard establishes a management approach to identifying and disclosing segment information, as opposed to Bulletin B–5, which, considered a management approach but also required segment disclosures to be classified by economic segments, geographical areas or homogeneous groups of customers. This standard also differs from the previous bulletin in that it does not require that business areas be subject to different risks in order to separate them into different segments. Additionally, a component in the development or pre–operational stage may be classified as a segment. This standard also requires the separate disclosure of interest income, interest expense and liabilities, as well as disclosure of entity–wide information, including products, services, geographical areas, and major customers and suppliers. Similar to Bulletin B–5, this standard is only mandatory for public companies or entities in process of becoming public.

NIF B–9, *Interim Financial Information* – Unlike Bulletin B–9, this standard requires the presentation of a condensed statement of changes in stockholders' equity and statement of cash flows as part of interim financial information. The standard also requires, for comparative purposes, information presented at the close of an interim period be presented together with information of the corresponding period in the previous year, and in the case of the balance sheet, presentation of the closing balance sheet of the immediately preceding year.

NIF C–4, *Inventories* – This standard eliminates direct costing as a permitted method of costing and eliminates the last–in first–out method as a technique for the measurement of cost. The standard also amended inventory valuation to be the lower of cost or market where market value is represented by net realizable value. This standard also sets rules for valuing inventory of service providers. This standard clarifies that, for inventory acquisitions in installments, the difference between the cost of inventory under normal credit terms and the actual amount paid, be recognized as a financial cost during the financing period. The standard also permits the reversal previous inventory impairment losses against current earnings of the period in which the change in estimate is determined. It also requires disclosure of the amount of inventories

recognized in results of the period when cost of sales includes other elements, when a portion of cost of sales is included within discontinued operations, or when the statement of income is classified according to the nature of revenues and expenses, such that a cost of sales line item is not presented. The standard also requires disclosure of the amount of impairment losses on inventories recognized as a cost of the period. It also requires that any change in the cost allocation method be treated as an accounting change. Additionally, it requires that advances to suppliers be recognized as inventories on upon the time when the risks and benefits of ownership are transferred to the Company.

NIF C–5, *Advance Payments and Other Assets* – This standard establishes that a basic feature of advance payments is the fact that they do not transfer the risks and rewards of the ownership of goods and services to the Company. Therefore, advances for the purchase of inventories or property, plant and equipment, among others, must be presented separately from inventory or property, plant and equipment if the risks and rewards of ownership of those goods have not transferred to the Company. The standard requires that advance payments be impaired when they lose their ability to generate future economic benefits. This standard also requires classification of advance payments as current or noncurrent, depending on their nature.

NIF C–6, Property, *Plant and Equipment* – This standard included within its scope property, plant and equipment used to develop or maintain biological assets as well as those of extractive industries. The standard also includes guidance with respect to the treatment of non–monetary exchanges with economic substance. The standard includes the basis for determining the residual value of a component, that being the amount that could be obtained currently from the disposal of the asset, assuming it is of the age and in the condition expected at the end of its useful life. The standard eliminates the requirement to record, at an appraised value, property, plant and equipment which was acquired at no cost or at a minimal cost that does not adequately represent the economic significance of the asset. The standard also establishes the obligation to separately depreciate significant components of an item of property, plant and equipment. This provision of the standard will be effective beginning January 1, 2012. Finally, the standard establishes a requirement to continue depreciating a component when it is not in use, except when depreciation methods are based on usage.

NIF C–18, Obligations *Associated with the Retirement of Property, Plant and Equipment* – This standard establishes specific guidance for the initial and subsequent recognition of provisions related to obligations associated with the retirement of components of property, plant and equipment and consequently eliminates the requirement to apply International Financial Reporting Interpretations Committee No. 1, Changes in Existing Decommissioning, Restoration and Similar Liabilities, on a supplemental basis.

Improvements to Mexican Financial Reporting Standards 2011:

NIF B–1, *Accounting Changes and Error Corrections* – The improvement to this standard requires that if the entity has implemented an accounting change or corrected an error, it should present a statement of financial position at the beginning of the earliest period for which comparative financial information is required, retroactively presenting the accounting change or error correction. The improvement also requires that each affected line item in the statement of changes in stockholders' equity shows: a) initial balances previously reported, b) the related adjustment, segregating the effects of accounting changes and corrections of errors, and c) the retroactively adjusted beginning balances.

NIF B–2, *Statement of Cash Flows* – The improvement to this standard eliminates the requirement to present a total, between investing activities and financing activities, of the excess cash to be applied in or obtained from financing activities. Presentation of this total is now only a recommendation.

Bulletin C–3, *Accounts Receivable* – The improvement to this Bulletin includes standards for the recognition of interest income on accounts receivable, and clarifies that recognition of accrued interest income on receivables whose collection is doubtful is prohibited.

NIF C–10, *Derivative Financial Instruments and Hedging Activities* – The improvement to this standard establishes specific criteria in order to exclude certain components of a derivative financial instrument from the determination of hedge effectiveness. The standard also requires that for valuation of options and currency forwards, certain components be excluded for purposes of determining effectiveness, thus resulting in the following recognition, presentation and related disclosure requirements: a) valuation of derivative financial instruments such as an option or a combination of options: changes in fair value attributable to changes in the intrinsic value of the options may be separated from changes attributable to their extrinsic value; only the change attributable to the option's intrinsic value, and not the extrinsic component, may be designated as effective hedging; and b) valuation of currency exchange forwards: separation of the change in fair value attributable to differences between interest rates of the currencies to be exchanged from the change in fair value attributable to changes in the spot prices of the currencies involved is permitted; the effect attributable to the component that was excluded from the cash flow hedge may be recognized directly in current earnings. Hedge accounting is limited when a transaction is carried out with related parties who have different functional currencies. The standard requires that when a hedged position is a portion of a portfolio of financial assets or liabilities, the effect of the hedged risk relating to variances in the interest rate of the portion of such portfolio be presented as a supplement of the primary position,

in a separate line item. It also states that contribution or margin accounts received, associated with transactions for trading or hedging with derivative financial instruments, be presented as a financial liability separately from the financial instruments line item when cash or marketable securities are received; additionally, only their fair value should be disclosed if securities in deposit or qualifying financial warranties are received that will not become the property of the entity. The standard also states that a proportion of the total amount of the hedging instrument, such as a percentage of its notional amount, may be designated as hedging instrument in a hedging relationship. However, a hedging relationship cannot be designated for only a portion of the term in which the instrument intended to be used as hedge is in effect.

NIF C–13, *Related Parties* – The improvement to this standard incorporates a close family member within the definition of a related party.

Bulletin D–5, *Leases* – The improvement to this Bulletin removes the obligation to determine the incremental interest rate when the implicit rate is too low; consequently, it establishes that the discount rate to be used by the lessor to determine the present value of minimum lease payment should be the implicit interest rate of the lease agreement, if it can be easily determined. If the implicit rate cannot be easily determined, then the incremental interest rate should be used. The improvement also requires more detailed disclosures by both lessors and lessees. As well, the improvement requires that when a gain or loss on the sale in a sale and leaseback transaction is deferred, it should be amortized over the term of the agreement and not in proportion to the depreciation of the leased asset. The gain or loss on the sale in a sale and leaseback transaction involving an operating lease should be recognized in results at the time of sale, provided that the transaction is established at fair value. If the sale price is below the carrying value of the asset, the result should be recognized immediately in current earnings, unless the loss is offset by future payments that are below the market price of the lease, in which case the loss should be deferred and amortized over the term of the agreement. If the sale price is greater than the carrying value of the asset, the excess should be deferred and amortized over the term of agreement.

b. For fiscal years beginning on or after January 1, 2012:

The provision of standard NIF C-6, Property, plant and equipment that generate changes from the segregation of components of items of property, plant and equipment with different useful lives, will become effective on January 1, 2012.

At the date of issuance of these consolidated financial statements, the Company has not fully assessed the effects on its financial information of adopting these new standards.

23. International Financial Reporting Standards

In January 2009, the Mexican National Banking and Securities Commission published changes to the Issuers Official Bulletin to establish that beginning in 2012 all listed companies in Mexico will have to file their financial information under International Financial Reporting Standards, with early adoption allowed.

24. Financial statement issuance authorization

The issuance of the consolidated financial statements was authorized by Lic. Daniel Servitje Montull, Chief Executive Officer, and the Board of Directors of the Company on March 14, 2011. These consolidated financial statements are subject to shareholder's approval at the General Stockholders' meeting, who may modify the financial statements, based on provisions set forth by Mexican General Corporate Law.

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